

Project Report on

**“Impact of IPO Fund Allocation on Equity Prices: A Comparative Study of
OFS-Heavy vs. Expansion-Focused IPOs in the Indian Market (2024)”**

By

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Submitted To

SAHYADRI COLLEGE OF ENGINEERING & MANAGEMENT

An Autonomous Institution Mangalore

In partial fulfilment of the requirements for the award of the degree of

MASTER OF BUSINESS ADMINISTRATION

Under the Guidance of

Prof. Ramesh KG



Department of Business Administration

SAHYADRI COLLEGE OF ENGINEERING AND MANAGEMENT

An Autonomous Institution

Sahyadri campus N.H.48, Adyar, Mangalore- 575007

(2024-2025)



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18th August 2025

CERTIFICATE

This is to certify that **MR. MAHAMMAD ALTHAF** bearing USN **4SF23BA080**, is a Bonafide student of Master of Business Administration course, Sahyadri College of Engineering & Management (2023-2025), affiliated to Visvesvaraya Technological University, Belagavi. Project report on **"IMPACT OF IPO FUND ALLOCATION ON EQUITY PRICES: A COMPARATIVE STUDY OF OFS-HEAVY VS. EXPANSION-FOCUSED IPOs IN THE INDIAN MARKET (2024)"** is prepared by him, under the guidance of **PROF. RAMESH K. G.**, Assistant Professor, Department of Business Administration, Sahyadri College of Engineering & Management, in partial fulfillment of the requirements for the award of the degree of Master of Business Administration of Visvesvaraya Technological University, Belagavi, Karnataka.

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DECLARATION

I, Mahammad Althaf, hereby declare that the Project report entitled "**Impact of IPO Fund Allocation on Equity Prices: A Comparative Study of OFS-Heavy vs. Expansion-Focused IPOs in the Indian Market (2024)**" prepared by me under the guidance of Ramesh KG, Asst. Prof, Department of Business Administration, Sahyadri College of Engineering & Management, an Autonomous Institution, Mangalore. I also declare that this Project work is towards the partial fulfilment of the university regulations for the award of the degree of Master of Business Administration by Visvesvaraya Technological University, Belgaum. I have undergone a summer project for a period of eight weeks. I further declare that this Project is based on the original study undertaken by me and has not been submitted for the award of any degree/diploma from any other University / Institution.

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Signature:



ACKNOWLEDGEMENT

I take this opportunity to express my gratitude to everyone who supported me throughout the project. I am thankful to our institution, Sahyadri College of Engineering & Management, Mangalore, for this wonderful opportunity to conduct this extensive study for a period of eight weeks, which has helped me gain greater exposure in this domain.

I express my sincere gratitude to Dr. Manjunath Bhandary, Hon'ble Chairman, Sahyadri College of Engineering & Management, An Autonomous Institution, for providing me the opportunity to pursue my higher education in this institution with quality education and vast exposure.

I extend my thanks to Dr. S. S. Injaganeri, Principal of the institution, and Dr. Vishal Samartha, Director, Department of Business Administration, for their encouragement and guidance in completing my project work.

I express my deep sense of gratitude to my project guide, Asst. Prof. Ramesh KG, Department of MBA, for the generous support and continuous guidance extended to me during this project.

I also offer my sincere thanks to all the teaching and non-teaching staff of Sahyadri College of Engineering & Management for their help and support. I thank my parents, friends, and all associates for their constant encouragement.

Mahammad Althaf

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Executive Summary

This project, "**Impact of IPO Fund Allocation on Equity Prices: A Comparative Study of OFS-Heavy vs. Expansion-Focused IPOs in the Indian Market (2024)**" Investigates the effects of funding allocation in initial public offers (IPOs) on risk-return characteristics, investor sentiment, and listing performance. Given the IPO market's growing importance as a source of funding in India, it is critical for issuers and investors to comprehend the distinctions between offerings that are primarily focused on offers for sale (OFS) and those that are more focused on expansion.

The report is based on a review of 330 IPOs listed on the NSE and BSE, using data sourced from financial databases including Chittorgarh, NSE, BSE, and Yahoo Finance. Key characteristics such as issue size, subscription levels, grey market premium (GMP), listing gains, beta values, and OFS vs. Expansion allocation were assessed. Analytical approaches such as the Capital Asset Pricing Model (CAPM), Alpha-Beta analysis, t-tests, and decision tree models were used to assess risk, performance, and market sensitivity.

The findings show that expansion-focused IPOs had higher average beta values (0.418), indicating increased susceptibility to market swings and potentially higher growth-driven risk. In contrast, OFS-heavy IPOs had lower beta values (0.328), implying generally consistent but modest returns. The study also found that innovation in fund allocation (expansion-driven capital injection) improves listing success and investor confidence, whereas OFS-heavy concerns are regarded more conservatively by the market. Statistical tests demonstrate substantial differences between the two groups, and decision tree analysis shows that subscription levels and fund allocation style are major determinants of listing day returns.

Finally, the data imply that fund allocation strategy influences IPO outcomes. Expansion-focused IPOs are more appealing to investors wanting stronger growth potential but with increased volatility, whereas OFS-heavy IPOs are better suited to investors seeking stability with managed risk. These insights can advise both corporations in structuring their IPOs and investors in making educated judgments regarding participation in prospective offerings.

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The findings show that expansion-focused IPOs had higher average beta values (0.418), indicating increased susceptibility to market swings and potentially higher growth-driven risk. In contrast, OFS-heavy IPOs had lower beta values (0.328), implying generally consistent but modest returns. The study also found that innovation in fund allocation (expansion-driven capital injection) improves listing success and investor confidence, whereas OFS-heavy concerns are regarded more conservatively by the market. Statistical tests demonstrate substantial differences between the two groups, and decision tree analysis shows that subscription levels and fund allocation style are major determinants of listing day returns.

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CHAPTER – 1

INTRODUCTION

Introduction to the Broad Area: IPOs and Capital Markets:

Initial Public Offerings (IPOs) are a common way for businesses to raise funds from public investors by offering shares on the primary market. IPOs enable businesses to raise funding for expansion, debt reduction, or strategic initiatives, while also offering investors with opportunity to participate in the company's success. The broader field of study in finance and capital markets is concerned with understanding stock price behavior, investor reactions, and market efficiency during and after the IPO process.

Multiple variables impact the performance of initial public offerings (IPOs), including market circumstances, investor mood, and the company's capital use plan. Researchers and market players examine IPOs to determine how freshly listed equities perform in terms of returns, liquidity, and trading volume. These insights are crucial for investors who want to make educated decisions, as well as organizations considering future public offerings.

Among the many dimensions of IPO analysis, one key focus is the post-listing performance of stocks, which includes listing-day returns, short-term abnormal returns, and trading activity during the first week or month. Studying these factors helps identify whether the IPO met market expectations, how investors reacted to it, and whether certain types of IPOs outperform others in the short term.

Among the several aspects of IPO examination, post-listing performance is very crucial. It covers listing-day returns, short-term anomalous returns, and trading activity throughout the first week of trade. Studying these aspects can assist determine if the IPO matched market expectations, how investors reacted, and whether some types of IPOs outperformed others in the near run. Understanding these dynamics is critical for assessing IPO success and directing investment strategy.

Introduction to the Specific Topic: Impact of IPO Fund Allocation on Equity

Prices:

In the financial markets, initial public offerings, or IPOs, are essential for raising money, improving liquidity, and opening up investment options. Over the past ten years, India's initial public offering (IPO) market has experienced tremendous expansion, driven by strong domestic growth, increased investor involvement, and regulatory improvements. Companies can obtain money for expansion through initial public offerings (IPOs), and investors can access new investment opportunities with different risk and return profiles.

While IPO research covers a wide range of factors, an important area of interest is the impact of IPO fund allocation on equity prices. Companies typically raise capital through either OFS-heavy IPOs, where existing shareholders sell their stakes, or expansion-focused IPOs, which aim to generate fresh capital for business growth. The fund allocation strategy influences investor perception, post-listing returns, liquidity, and trading volume.

This initiative focuses on three major factors of IPO performance:

1. The CAPM model calculates anticipated and anomalous returns (alpha) to assess risk-adjusted stock performance in relation to the market after listing.
2. Compare the listing-day returns of OFS-heavy and expansion-focused IPOs to determine how fund usage impacts investor response on the first day of trading.
3. Conduct liquidity and trade volume analysis, including bid-ask spreads, turnover ratios, and first-week trading activity, to evaluate market efficiency and investor involvement for various IPOs.

Although IPO performance has been extensively explored, research into merging CAPM-based anomalous returns with liquidity and trading volume measures in the context of fund allocation techniques is still restricted. This study tries to shed light on how OFS-heavy vs expansion-focused IPOs affect investor behavior, stock price performance, and market dynamics in India. This study helps investors, companies, and policymakers understand the effects of IPO fund allocation on equity prices by analyzing risk-adjusted returns, listing-day performance, and short-term trading trends. It also provides practical guidance for designing IPO strategies that maximize market impact and investor participation.

Industry Profile

The Indian IPO market has evolved into one of the most dynamic segments of the capital market. The industry is influenced by factors such as regulatory changes by SEBI, investor sentiment, global economic conditions, and sectoral performance. With increasing participation from retail, institutional, and foreign investors, the IPO space has become a critical barometer of market confidence and economic growth.

SWOT analysis of the IPO market in India:

Strengths: Diverse industry representation, digital infrastructure, open regulatory framework, and robust investor involvement.

Weaknesses: Dependency on market emotion, short-term speculation, and high volatility.

Opportunities: Possibilities include rising worldwide investor interest, expanding SME IPOs, expanding retail involvement, and advantageous government regulations.

Threats: Risks include underperformance of overhyped issues, regulatory tightening, and global market shocks.

Future Growth & Prospects

The rise in start-ups, unicorn listings, and the growing need for funding in cutting-edge industries like fintech, renewable energy, and digital services are all likely to fuel additional expansion in the Indian IPO market. The IPO market will remain a significant force behind capital formation and wealth development due to rising investor involvement and financial knowledge.

CHAPTER -2

CONCEPTUAL BACKGROUND

AND LITERATURE REVIEW

Conceptual Background:

Initial Public Offerings (IPOs) are a vital stage in a company's lifecycle, giving an opportunity to obtain funds from public investors while also allowing them to participate in the company's growth. IPO success is determined by a mix of market conditions, investor behavior, and the company's strategic cash allocation decisions. In recent years, IPO studies have stressed the need of examining post-listing stock returns, liquidity, and trading activity to better understand market efficiency and investor sentiment.

The conceptual framework for assessing IPO success is located at the junction of financial theory and market microstructure. First, the Capital Asset Pricing Model (CAPM) provides a framework for determining a stock's risk-adjusted anticipated return. According to CAPM, a stock's expected return is defined by its systematic risk (beta) in comparison to the market. Researchers can compute anomalous returns (alpha) by comparing an IPO's actual post-listing return to the predicted return calculated using CAPM. Positive alpha indicates that the IPO beat market expectations, whilst negative alpha implies underperformance. This risk-adjusted evaluation enables analysts to separate the impact of market fluctuations and gain a better understanding of the company-specific performance of freshly listed equities.

Another key theoretical approach is the categorization of IPOs by fund use strategy, especially OFS-heavy vs expansion-focused IPOs. OFS-heavy IPOs focus on the selling of existing shareholders' holdings, with minimal additional capital generated for corporate expansion. In contrast, expansion-focused IPOs are generally intended to attract fresh cash for projects, capacity growth, or market penetration. This distinction is important because the fund's usage strategy effects investor views, market demand, and post-listing trading behavior. Investors may see OFS-heavy IPOs as promoters' exit strategy, hurting confidence, whereas expansion-focused IPOs suggest future growth potential, which can attract long-term investors.

From a market microstructure standpoint, liquidity is critical in determining how easily stocks may be exchanged without materially altering their price. Metrics like as bid-ask spreads and turnover ratios reveal how actively an IPO is traded and how quickly the market processes fresh information. Stocks with more liquidity promote smoother trading, lower transaction costs, and better price discovery, resulting in a more efficient market environment. The capital usage strategy

may impact liquidity patterns, since OFS-heavy IPOs frequently result in a concentrated supply of shares among a smaller investor base, whereas expansion-focused IPOs enhance share availability and extend market participation.

Trading volume contributes to liquidity analysis by indicating investor interest and market activity. High trading volumes in the first few days after listing typically reflect great investor enthusiasm and market confidence, whereas lower volumes may signal cautious behavior or insufficient information distribution. Examining first-week trading volumes provide light on how the market reacts to various IPO structures and identifies tendencies in investor behavior linked to OFS-heavy vs expansion-focused IPOs.

Overall, combining CAPM-based anomalous return analysis with liquidity and trade volume measures provides a comprehensive method for assessing IPO success. This method not only captures the risk-adjusted performance of freshly listed businesses, but it also demonstrates how strategic decisions about fund use impact market behavior. By examining both listing-day returns and short-term trading patterns, analysts may analyze investor emotion, market efficiency, and the direct influence of IPO structure on stock performance. Such a methodology provides actionable data for investors, regulators, and corporations considering initial public offerings, directing capital market decision-making and contributing to a better understanding of the dynamics regulating post-listing stock performance.

Literature review:

1. Maarof, M.Z., Nojum, N.S., Abd Rahman, M.M., & Abdul Rashid, R.A. (2024). Post-Listing Performance of IPOs on Bursa Malaysia. This research looks at the post-listing performance of the top 20 IPOs on Bursa Malaysia as of October 24, 2024, by calculating percentage gains or losses in share prices, market capitalization, and market sector categorization. Using data from Bursa Malaysia's official records, the study analyzes performance by comparing initial listing prices to current market prices and dividing IPOs into ACE Market and Main Market categories to uncover trends related to listing platform and investor mood. The results show substantial heterogeneity in IPO outcomes, emphasizing the impact of sectoral characteristics, market circumstances, and investor behavior on post-listing success. The report provides useful insights for investors and regulators by identifying the factors that influence IPO success and failure in Malaysia, highlighting the significance of pre- and post-listing analysis for informed decision-making. This study adds to the literature on emerging-market IPO success by providing advice on improving investor returns and understanding market dynamics unique to Bursa Malaysia.

2. Shetty, C., Vinish, P., Aluru, S., Pinto, P., & Hawaldar, I.T. (2023). IPO Subscription Dynamics: A Comprehensive Inquiry into the Indian Stock Market. This study examines the factors that influence IPO subscription levels in the Indian stock market, considering 132 IPOs registered between April 2019 and March 2023. The authors use multiple linear regression to analyze the link between subscription levels and 10 factors listed in the literature. The study reveals that three external factors—Grey Market Premium (GMP), IPO ratings, and broker recommendations—have a considerable impact on total subscription, but internal factors such as allocation proportion and issue features have no noticeable effect. The findings indicate that speculative behavior and reliance on expert counsel have a greater impact on IPO subscriptions in India than the basic qualities of the issues. The study gives useful insights into investors' behavior and market dynamics in emerging economies.

3. Pinki, & Aryan. (2021–2022). Grey Market Premium and IPO Listing Gain. This study looks at the link between Grey Market Premium (GMP) and IPO listing profits in the Indian stock market, specifically IPOs filed between November 1, 2021 and February 28, 2022. Given the retail quota's oversubscription on the first day, the authors analyze whether retail investors rely on basic firm performance or gray market signals when subscribing to IPOs. The study takes a descriptive technique to see whether GMP can forecast the IPO listing price and subsequent listing gains. The data show that grey market pricing have a considerable effect on the first listing price, implying that investors frequently make subscription decisions based on market mood rather than core merits. This research helps to understand investor behavior in emerging.

4. Bhayani, S. (2021). The Comparative Study on the Performance of Offer for Sale (OFS) and Initial Public Offer (IPO) in the Indian Stock Market. This study looks at the legal environment and market performance of initial public offerings (IPOs) and offer for sale (OFS) procedures in India over a two-year period (2018-2019). Using secondary data, the author picks a sample of firms that have issued IPOs or OFSs, such as Tata Communications, Rama Phosphates, Marathwada Refractories, Essar Ports, and Omaxe, and compares performance metrics using a t-test. The report compares the number of shares traded and funds raised through IPOs and OFSs over the study period. The findings show that there is no statistically significant difference in trade volumes or amounts collected between IPOs and OFS, implying that both methods function similarly in terms of market activity and capital mobilization over the near term. The study adds to the IPO-OFS literature by offering an Indian market perspective and demonstrating that, despite their different aims and structures, IPOs and OFS may not differ much in immediate quantitative success indicators.

5. McGuinness, P., Cheng, L., Fung, H., Vong, A., & Zhao, X. Dual-Tranche Initial Public Offerings and Pricing Dynamics in Hong Kong. (2020) This study looks at the price and aftermarket performance of Hong Kong IPOs that were issued using a dual-tranche offer method, which combines a local retail offer with a book-built placement. Unlike the previous single-tranche method, the dual-tranche structure includes features like claw-backs, flexible offer pricing, and over-allotment options, which enable issuers to alter supply and demand over the subscription

period. The authors use a dataset of recent Hong Kong IPOs to identify several ex-ante determinants of initial returns and subscription demand, such as retail subscription rates from prior offerings, IPO clustering, overall secondary market performance, H-share status, advising sponsorship quality, earnings forecast disclosure, and industry P/E levels. Ex-post study shows that underpricing and excess subscription demand are positively related to over-allotment option exercise and post-listing return. Importantly, the analysis shows no substantial indication that subsequent seasoned equity issuance within 36 months promotes IPO underpricing, implying that capital-raising reasons are secondary to demand-driven variables. The authors also create a new measure of excess demand that is suited to the dual-tranche allotment procedure, demonstrating that aftermarket volatility is more closely related to excess demand than initial return levels. According to past research (e.g., Hanley, 1993), IPOs priced toward the upper end of their offer range generate better initial returns. This study adds to the IPO literature by demonstrating how structural changes in offer procedures affect price dynamics, demand patterns, and volatility in post-listing trading.

6. Sandhu, H. & Guhathakurta, K. (2020). Effects of IPO Offer Price Ranges on Initial Subscription, Initial Turnover and Ownership Structure—Evidence from Indian IPO Market. This study looks at how different IPO offer price ranges affect initial subscription behavior, trading activity on listing day, and post-IPO ownership distribution in the Indian primary capital market. The study uses a dataset of 200 IPOs from 2006 to 2015, and using first logistic regression and OLS models to assess investor reaction across retail, institutional, and non-institutional segments. Key findings indicate that lower-priced IPOs are less likely to be fully subscribed, particularly by institutional investors, and have lower trading activity on the first day. Furthermore, the study found that lower offer prices result in increased post-listing ownership by individual investors, whereas higher-priced IPOs attract more institutional holdings. The study adds to the IPO literature by experimentally confirming investors' behavioral segmentation in response to price bands and emphasizing the impact of promoter holdings in influencing post-IPO ownership structures.

7. Sandhu, H. & Guhathakurta, K. (2020). Effects of IPO Offer Price Ranges on Initial Subscription, Initial Turnover and Ownership Structure—Evidence from Indian IPO

Market. This research examines investor behavior across several IPO price ranges and fund use scenarios. It demonstrates that retail and institutional investors respond more positively to IPOs with cash designated for growth and expansion. Such IPOs have greater subscription rates and more listing day activity. This validates Oriana Power's market experience as a fundamentally strong, expansion-driven IPO.

8. Dhamija, S. & Arora, R.K. . Initial and After-Market Performance of SME IPOs in India. (2019). This study examines the initial and post-market performance of initial public offerings (IPOs) listed on the Bombay Stock Exchange (BSE) and National Stock Exchange (NSE) Small and Medium Enterprises (SME) platforms. Examining listing and post-listing behavior, the authors discover evidence of underpricing comparable with worldwide IPO literature, but to a lesser extent than that reported for main board IPOs in India. The comparatively mild underpricing is due to the SME platform's early stage of development and low investor attraction, as seen by an average oversubscription rate of only 1.35 times. Using multivariate regression, the study identified type of offer, issue size, promoter ownership, subscription level, lead management prestige, and exchange of listing as major predictors of underpricing. Post-listing performance demonstrates that SME IPOs beat the benchmark index, which contradicts long-term research that show main board IPOs underperforming. This outperformance is attributed in part to low trade volumes and liquidity, which can skew long-term return comparisons. The study contributes to IPO research in emerging economies by providing insights into the distinctive pricing dynamics, investor participation levels, and aftermarket behavior of SME IPOs, which have implications for regulators, issuers, and investors in narrow market sectors.

9. Almisher, M.A., & Kish, R.J. (2015). Accounting Betas – An Ex-Ante Proxy for Risk within the IPO Market. This study looks at the use of accounting betas as proxies for market (systematic) risk in the context of IPOs, especially when market beta data is unavailable for privately owned companies. Building on previous research linking accounting and market betas (e.g., Ball & Brown, 1969; Kulkarni, Powers, & Shanon, 1991), the authors investigate whether accounting betas provide useful ex-ante information on IPO risk. Their findings show a statistically significant relationship between accounting betas and IPO underpricing, implying that accounting betas accurately represent the riskiness of enterprises entering the IPO market. The study shows that,

even in the absence of market beta data, previous accounting performance may be a valid signal of systematic risk when evaluating IPOs. This study adds to the IPO literature by offering a useful risk assessment tool, particularly for investors and underwriters working with freshly listed or privately owned companies, and highlights the importance of accounting information in pre-IPO decision-making.

10. Che-Yahya, N. & Rashid, R. The influence of “offer for sale” by existing shareholders on investors’ reaction in the IPO immediate aftermarket. (2015) This study examines 419 Malaysian IPOs issued between January 2000 and December 2015 to see how the proportion of Offer for Sale (OFS) — defined as shares sold by existing owners divided by total shares offered influences investor behaviour in the immediate aftermarket. Using regression analysis, the authors conclude that IPOs with a greater OFS share had considerably lower first aftermarket returns and reduced trading volume, reflecting lower investment demand. The findings are interpreted via the lens of signaling and information asymmetry: substantial insider selling during an IPO is regarded as a signal that revenues would not fuel company expansion, lowering investor confidence in comparison to IPOs dominated by new issues. The paper's contribution is to quantify OFS as a factor of short-run aftermarket performance in an emerging market environment, as well as to demonstrate that fund allocation structure has an impact on pricing and liquidity shortly after listing. Policy and practical consequences include the requirement for greater disclosure of use-of-proceeds, cautious investor evaluation of OFS-heavy issues, and potential regulatory attention to big insider sell-downs during offering time to safeguard aftermarket quality and investor trust.

11. Sehgal, S. & Sinha, B.K. (2013). An Empirical Investigation of IPO Pricing and Investment Bank Reputation in India. This study looks at 432 IPOs issued in India between April 2001 and December 2011, concentrating on two main issues: the underlying determinants of short-run initial performance and the impact of IPO mispricing on investment banks' reputation. The authors uncover five factors—subscription rate, number of uses of IPO funds, listing delay, industry P/E ratio, and a dummy variable reflecting "new economy" firms—that are positively connected with short-run initial returns. In contrast, four variables—company size, investor attitude, investment bank reputation (measured by their portion of IPO profits), and a dummy for

private companies—all had a negative link with initial returns. The suggested multi-factor model predicts an average initial return of 26.11%, somewhat higher than the actual 24.93%, implying a minor overvaluation at listing. The study observes a downward adjustment in price after listing, with negative returns from the second day to the sixth month, implying that it takes approximately six months for the Indian market to completely absorb IPO-related information. The authors propose a six-month lock-in period to reduce short-term speculation, with IPO trading beginning only after this period. They also advise regulators to employ a comprehensive valuation model to better establish IPO pricing. The study provides useful insights into IPO pricing dynamics in emerging nations, with implications for regulators, investment banks, and investors.

12. Krishnamurti, C., Thong, T.Y., & Ramanna, V. (2011). Grey Market for Indian IPOs: Investor Sentiment and After-Market Performance. This study investigates the importance of the gray market in Indian IPOs, concentrating on investor mood and its impact on first aftermarket returns. Emerging economies, such as India, have a less established legal and institutional context than developed markets, making grey market activity—short-selling before shares are formally available—especially crucial. The study emphasizes the increased engagement of retail investors, who are more prone to overreaction, and investigates whether gray market prices are reliable proxies for investor emotion. Empirical data show that grey market prices anticipate first listing returns and that trading techniques based on them, such as selling at grey market levels and then short-covering, may be successful. The results highlight the impact of pre-IPO mood and speculative behavior.

13. Bansal, R. & Khanna, A. (2012). Determinants of IPOs Initial Return: Extreme Analysis of Indian Market. This study creates and examines empirical models to uncover the drivers of IPO underpricing in the Indian capital market, with an emphasis on the post-market crisis period. Using a sample of IPOs listed on the Bombay Stock Exchange from April 2000 to December 2011, the authors use multiple linear regression to investigate the impact of firm-specific, market-related, and structural factors on initial returns. The study finds that business age, IPO year, book-building pricing technique, ownership structure, issue size, and market capitalization account for roughly 44% of the variation in underpricing. The number of shares offered, issue size, market

capitalization, subscription timing, book building adoption, and specific IPO years (2006, 2009, and 2011) are all significant predictors of underpricing following the market collapse. In contrast, characteristics such as company age, IPOs issued in 2008, private issuing businesses, non-institutional promoters, Indian promoters, and non-institutional non-promoters had no substantial impact on underpricing in the post-crisis era. The study adds to the IPO literature by demonstrating how macroeconomic cycles, offer features, and ownership patterns interact to determine initial returns in emerging economies.

14. Chemmanur, T. J., He, J., & Nandy, D. K. (2010). The going-public decision and the product market. This research investigates the reasons why companies go public, particularly when raising funds for expansion goals. It discovers that enterprises who intend to use IPO revenues on product market expansion and innovation do better post-IPO. Because of increased openness and investor trust, expansion-focused IPOs provide better operating performance and market valuations. The study demonstrates how cash obtained through stock issue, as opposed to simple ownership transfers, frequently indicates a company's long-term development intentions.

15. Das, S. Analysis of Listing and Post-Issue Pricing Performance of Minor Issues (2008): A Study of Few Selected Indian Initial Public Offerings (IPOs). This article investigates the short-term performance of tiny IPOs, or issues with low offer prices and small issue sizes, that were launched in India during the 2008-2009 crisis. The study, which focuses on six firms that raised relatively small sums through book-built offerings, looks at listing day returns and post-issue price performance over a month. Using secondary data from the National Stock Exchange, the findings demonstrate that tiny IPOs are typically underpriced, resulting in anomalous returns on the listing day, with all sampled IPOs exceeding the benchmark index initially. However, these advantages are unsustainable, as cumulative holding returns fall sharply within one month following listing. The study emphasizes the speculative character of investor engagement in penny IPOs, where great short-run success caused by underpricing does not convert into long-term value generation. The findings add to the wider IPO literature by demonstrating that issue size and market phase can have a significant impact on pricing behavior and investor outcomes in emerging countries.

16. Cornelli, F., Goldreich, D., & Ljungqvist, A. (2006). Investor Sentiment and Pre-IPO Markets. This study looks at the impact of investor mood on post-IPO pricing, utilizing the grey market—the when-issued market preceding European IPOs—as a proxy for small (retail) investor value. The authors discover that high grey market prices, indicating retail investor overoptimism, are substantial predictors of first-day aftermarket prices, but low grey market prices, expressing excessive pessimism, have no equivalent predictive impact. The study also finds long-term price reversals after IPOs with high pre-issue valuations, but not when pre-issue values are low. This disparity is ascribed to institutional investors' strategic activity, which allows them to either keep or resell assigned shares when retail investors overvalue the offering. The findings highlight the importance of pre-IPO investor sentiment and market microstructure in influencing initial aftermarket performance, giving insights into how retail investors' behavioral biases combine with institutional trading tactics to impact IPO pricing dynamics.

17. Lowry, M. & Schwert, G.W. (2004). Is the IPO Pricing Process Efficient. This research looks at the importance of public information in the IPO pricing process, specifically how underwriters incorporate it into both the initial filing price range and the final offer price. Analyzing a large sample of US IPOs, the authors discover that public information is not completely reflected in the initial price range, implying that the filing range midpoint is not an unbiased predictor of the ultimate offer price—contrary to previous assumptions in the literature. Similarly, public information is only partially included into the final offer price, albeit the economic impact of this inefficiency is minor. The findings show that the IPO pricing mechanism is virtually efficient, with just slight biases whose benefactors remain unknown. By questioning the usual assumption of unbiased pricing ranges and revealing minor inefficiencies in price formation, this research adds to the literature on IPO market efficiency, underwriter conduct, and the dynamics of price discovery during the offering process.

18. Ritter, J.R. & Welch, I. (2002). A Review of IPO Activity, Pricing, and Allocations.

This authoritative study combines theoretical and empirical studies on IPO activity, price, and share allocation to answer three key questions: why companies go public, why IPOs have significant first-day underpricing, and how they perform in the long term. The authors note that many IPO occurrences are non-stationary, with variations over time owing to market cycles, regulatory changes, and changing investor behavior. They highlight share allocation mechanisms as the most potential topic for future research, focusing on the role of book-building, investor targeting, and allocation discretion in shaping underpricing and aftermarket consequences. Ritter and Welch challenge the dominance of asymmetric information models in IPO theory, arguing that nonrational elements, such as market emotion, and agency conflicts between issuers, underwriters, and investors, might better explain observed trends. The report also examines long-term IPO underperformance, observing varied results across markets and time periods, and advocates for a more comprehensive integration of behavioral finance and contracting theory into IPO research. This analysis remains a cornerstone in the IPO literature, directing further research on capital allocation, pricing mechanisms, and the combination of rational and behavioral determinants of IPO results.

19. Biais, B., Bossaerts, P., & Rochet, J-C. (2002). An Optimal IPO Mechanism. (2018)

This study creates a theoretical model for designing the best Initial Public Offering mechanism in a setting with multidimensional adverse selection, where institutional investors have private information on the market valuation of shares, intermediaries have private information on demand, and both parties may collude. The model's first theorem states that uniform pricing—in which all investors pay the same price—is ideal, with the IPO price determined by conditional expectations based on existing information. The second theorem illustrates that the best method may be achieved by a non-linear pricing schedule that drops with the quantity offered to retail investors, reflecting IPO practices in the United Kingdom and France. Using French IPO data, the authors use GMM structural estimation to experimentally evaluate the model, revealing that the projected price schedules correspond to the theoretical optimality criteria. The research adds to the IPO literature by combining auction theory, adverse selection, and market microstructure, providing

both a theoretical framework for optimum pricing and empirical proof of its application in real-world IPO scenarios.

20. Ritter (1991), Ibbotson (1975), and Chalk and Peavy (1987): A large amount of study has been conducted on the behavior of IPOs, namely the short-term anomalous returns and long-term underperformance after issue. Early research by Ritter (1991), Ibbotson (1975), and Chalk and Peavy (1987) regularly show strong positive anomalous returns on IPO announcement day, followed by long-term underperformance. This short-term rise is frequently linked to investment bankers' underpricing methods, which stimulate demand while reducing placement risks. To ensure gains, informed traders generally take advantage of this pattern by acquiring shares before they are listed and swiftly selling them after the listing. Uninformed traders, on the other hand, are generally driven by long-term value and liquidity considerations, resulting in more volatility and uncertain returns. Post-IPO performance, particularly holding period returns, appears to be impacted by business fundamentals such as return on equity (ROE), cash flow stability, and growth strategy execution. This is especially important in emerging markets like India, where investor behavior is frequently influenced by short-term signals rather than solid fundamentals. The volatility in IPOs with substantial Offer for Sale (OFS) components or without actual capital injection contributes to post-listing underperformance. Thus, the interplay between investor categories, business fundamentals, and offer features (such as OFS) has a significant impact on IPO success, serving as the foundation for our analysis on the Indian market.

CHAPTER – 3

RESEARCH METHODOLOGY

Research Gap

Despite the growing body of literature on IPO performance, there exists a notable gap in understanding the influence of IPO fund allocation on post-issue equity price behavior, particularly in the Indian context. While global studies have examined factors such as underpricing, volatility, and long-term returns, there is limited research that explicitly compares IPOs where proceeds are utilized for business expansion versus those structured as Offer for Sale (OFS), where funds go to existing shareholders. The Indian IPO market has witnessed a surge in both types of issues in recent years, yet investor perception and market response to these distinct allocation strategies remain underexplored. Moreover, most existing studies focus either on initial returns or long-term performance, often overlooking the critical short- to mid-term market behavior. There is also a lack of integrated analysis that considers both stock price movement and trading volume as indicators of investor sentiment. This study aims to address these gaps by providing a comparative analysis of OFS-heavy and expansion-focused IPOs in India, thereby offering deeper insights into how the intended use of funds influences equity prices post-listing.

Problem statement

In the Indian stock market, companies raise funds through initial public offerings (IPOs) via two primary paths: offer for sale (OFS) where existing shareholder sell their stocks, and fresh issue, where proceeds are used for business expansion or other operational needs whole both paths provide access to public capital their implication post listing performance, investor perception and long-term value creation can differ significantly

Despite increasing volume of IPOs in India, there is limited research comparing the market performance of OFS-heavy IPOs with that of expansion-focused IPOs. Understanding whether the purpose of fund allocation influences listing returns, investor sentiment, and post listing behavior is crucial for both policy makers and investors

This study to analyze the compare the shortterm listing performance and market response of OFS-heavy IPOs versus expansion-focused IPOs in the Indian equity market, using data from 2024 IPO

Objectives:

1. To examine the impact of IPO fund allocation strategy (OFS-heavy vs. Expansion-focused issues) on post-listing performance and investor returns.
2. To apply the CAPM model for evaluating the relationship between risk (Beta) and actual listing day returns of IPOs.
3. To provide insights for investors and policymakers on how IPO structuring (fund allocation, pricing, and risk factors) influences wealth creation in capital markets.
4. To test the impact of market sentiment (GMP) and IPO type on performance.

Research Methodology

This study aims to examine the impact of the “Offer for Sale” (OFS) component in Initial Public Offerings (IPOs) on investors’ immediate aftermarket reaction, focusing on IPOs listed on the Indian stock exchange NSE and BSE over the past decade. The objective is to assess whether a higher proportion of OFS influences initial return and trading volume adversely, as has been suggested in global literature.

1. Research Design

A quantitative research design will be employed using secondary data collected from stock exchange databases and financial websites. The study will be analytical in nature and will apply statistical methods to evaluate the relationship between OFS proportions and IPO performance metrics.

2. Data Collection

Data Source: IPO prospectuses (RHPs), BSE and NSE websites, SEBI filings, CMIE Prowess, Money control, Chittorgarh, yahoo finance and screener.

- Sample Period: IPOs listed between January 2024 to December 2024.
- Sample Criteria:
 - Only mainboard IPOs

- IPOs that include an OFS component as well as fresh issue
- Availability of post-listing return and trading volume data

sample size: 330 IPOs meeting the criteria.

3. Analytical Tools & Techniques:

1. Beta Value Analysis

- Beta calculated to assess risk sensitivity of IPO categories.
- Comparison of average beta values between OFS-heavy and Expansion-focused IPOs.

2. Alpha Value Analysis (T-test & Decision Tree)

- Alpha estimated using CAPM to measure excess returns over expected market returns.
- Independent sample T-test applied to check statistical difference between OFS and Expansion IPOs.
- Decision Tree analysis used to identify key factors influencing positive/negative Alpha.

3. CAPM Application

- Expected returns compared with actual IPO listing returns.
- Scatter plot of Beta vs Actual Return interpreted for model fit.

4. Category-wise Comparison (OFS vs Expansion)

- Mean comparison of Actual Returns, Expected Returns, and Alpha values.
- Interpreted to highlight differences in performance between the two IPO categories.

4. Statistical Tools:

- Microsoft Excel, Python, and Power BI used for data computation, visualization, and statistical testing.

CHAPTER – 4

ANALYSIS AND INTERPRETATION OF DATA

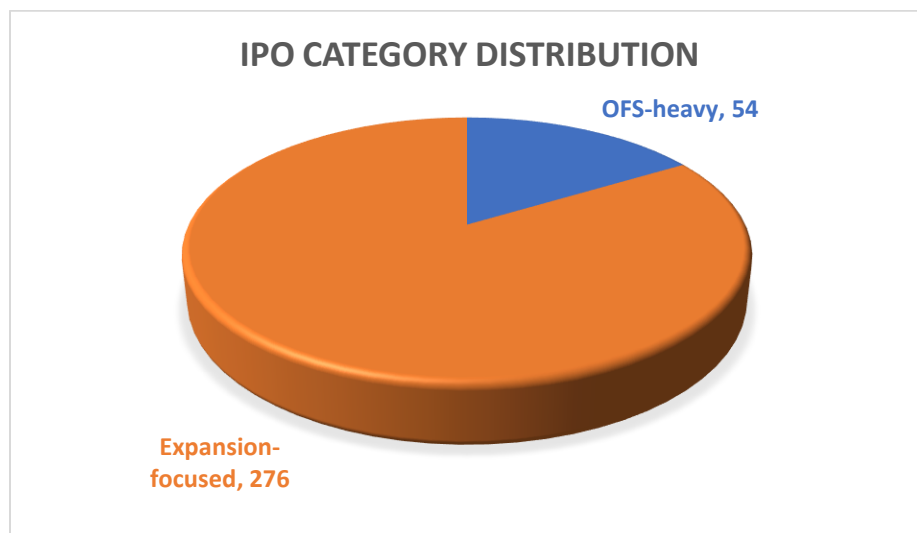
Basic Profile of the Dataset

The study is predicated on 330 initial public offerings (IPOs) that were launched on Indian stock platforms in 2024. One of two categories was assigned to each IPO:

- OFS-heavy IPOs: these are those in which the proceeds from the sale of the offering exceed half of the issue size.
- The majority of cash in growth-focused initial public offerings (IPOs) are used for project development, capacity building, or business expansion.

1.1 Table showing the values of IPO Category

Category	Number of IPOs
OFS-heavy	54
Expansion-focused	276
Total	330



Interpretation of IPO Category Distribution:

The pie chart depicts the distribution of IPOs between **OFS-heavy** and **Expansion-focused** categories. Out of the total 330 IPOs, **54 IPOs (around 16%)** fall under the OFS-heavy category, while **276 IPOs (around 84%)** are Expansion-focused.

This clearly indicates that a significant majority of IPOs in the observed period are aimed at raising capital for business expansion rather than providing an exit opportunity to existing shareholders. The dominance of Expansion-focused IPOs reflects a trend where companies prefer to utilize public market funding to invest in growth, capacity enhancement, and new projects.

On the other hand, the relatively smaller share of OFS-heavy IPOs suggests that fewer companies are primarily using the IPO route for ownership transfer or monetization by existing promoters and investors. This skew toward expansion-driven offerings may also signal strong investor appetite for growth-oriented businesses and a positive economic outlook encouraging companies to scale up operations.

Expansion Based IPO:

1.2 Table showing the Expansion Based IPOs Details

Sl.no	Company	Expansion (Cr)	% of Expansion
1	Indo Farm Equipment Limited IPO	184.90	71.07
2	Technichem Organics Limited IPO	25.25	100.00
3	Citichem India Limited IPO	12.60	100.00
4	Anyapolytech & Fertilizers Limited IPO	44.80	100.00
5	Ventive Hospitality Limited IPO	1600.00	100.00
6	Senores Pharmaceuticals Limited IPO	500.00	85.89
7	Sanathan Textiles Limited IPO	400.00	72.73
8	Identical Brains Studios Limited IPO	19.95	100.00
9	NACDAC Infrastructure Limited IPO	10.01	100.00
10	Hamps Bio Limited IPO	6.22	100.00

11	Yash Highvoltage Limited IPO	93.51	85.00
12	Purple United Sales Limited IPO	32.81	100.00
13	Supreme Facility Management Limited IPO	50.00	100.00
14	One Mobikwik Systems Limited IPO	572.00	100.00
15	Jungle Camps India Limited IPO	29.42	100.00
16	Toss The Coin Limited IPO	9.17	100.00
17	Dhanlaxmi Crop Science Ltd IPO	23.80	100.00
18	Emerald Tyre Manufacturers Limited IPO	47.37	96.16
19	Nisus Finance Services Co Limited IPO	101.62	88.96
20	Property Share Investment Trust SM REIT	352.91	100.00
21	Ganesh Infracore Limited IPO	98.58	100.00
22	Agarwal Toughened Glass India Limited IPO	62.64	100.00
23	Apex Ecotech Limited IPO	25.54	100.00
24	Abha Power and Steel Limited IPO	31.04	80.54
25	Rajputana Biodiesel Limited IPO	24.70	100.00
26	C2C Advanced Systems Limited IPO	99.07	100.00
27	Enviro Infra Engineers Limited IPO	572.46	88.01
28	Lamosaic India Limited IPO	61.20	100.00
29	NTPC Green Energy Limited IPO	10000.00	100.00
30	Onyx Biotech Limited IPO	29.34	100.00
31	Neelam Linens and Garments (India) Ltd IPO	13.00	100.00
32	ACME Solar Holdings Limited IPO	2395.00	82.59
33	Usha Financial Services Limited IPO	98.45	100.00
34	Danish Power Limited IPO	197.90	100.00
35	United Heat Transfer Limited IPO	30.00	100.00
36	OBSC Perfection Limited IPO	66.02	100.00

37	Waaree Energies Limited IPO	3600.00	83.31
38	Deepak Builders & Engineers India Limited IPO	217.21	83.53
39	Premium Plast Limited IPO	26.20	100.00
40	Freshara Agro Exports Limited IPO	75.39	100.00
41	Lakshya Powertech Limited IPO	49.91	100.00
42	Pranik Logistics Limited IPO	22.47	100.00
43	Garuda Construction and Engineering Limited IPO	173.85	65.83
44	Shiv Texchem Limited IPO	101.35	100.00
45	NeoPolitan Pizza and Foods Limited IPO	12.00	100.00
46	Paramount Dye Tec Limited IPO	28.43	100.00
47	Subam Papers Limited IPO	93.70	100.00
48	Saj Hotels Limited IPO	27.63	100.00
49	HVAX Technologies Limited IPO	33.53	100.00
50	Divyadhan Recycling Industries Limited IPO	24.17	100.00
51	Sahasra Electronics Solutions Limited IPO	172.01	92.40
52	Forge Auto International Limited IPO	31.10	100.00
53	Diffusion Engineers Limited IPO	158.00	100.00
54	Nexus Petro Industries Limited IPO	19.43	100.00
55	KRN Heat Exchanger and Refrigeration Limited IPO	341.95	100.00
56	TechEra Engineering Limited IPO	35.90	100.00
57	Unilex Colours and Chemicals Limited IPO	31.32	100.00
58	Thinking Hats Entertainment Solutions Limited IPO	15.09	100.00
59	WOL 3D India Limited IPO	21.78	85.21
60	Rappid Valves (India) Limited IPO	30.41	100.00
61	Manba Finance Limited IPO	150.84	100.00
62	BikeWo GreenTech Limited IPO	24.09	100.00

63	SD Retail Limited IPO	64.98	100.00
64	Phoenix Overseas Limited IPO	29.31	81.35
65	Avi Ansh Textile Limited IPO	25.99	100.00
66	Kalana Ispat Limited IPO	35.29	100.00
67	Paramount Speciality Forgings Limited IPO	28.33	87.60
68	Arkade Developers Limited IPO	410.00	100.00
69	Osel Devices Limited IPO	70.66	100.00
70	Northern Arc Capital Limited IPO	500.00	64.35
71	Pelatro Limited IPO	55.98	100.00
72	Western Carriers (India) Limited IPO	400.00	81.16
73	Envirotech Systems Limited IPO	30.24	100.00
74	Deccan Transcon Leasing Limited IPO	59.66	91.70
75	Popular Foundations Limited IPO	19.87	100.00
76	Sodhani Academy of Fintech Enablers Limited IPO	3.88	63.40
77	Excellent Wires and Packaging Limited IPO	12.60	100.00
78	Innomet Advanced Materials Limited IPO	34.24	100.00
79	P N Gadgil Jewellers Limited IPO	850.00	77.27
80	SPP Polymer Limited IPO	24.49	100.00
81	Tolins Tyres Limited IPO	200.00	86.96
82	Aditya Ultra Steel Limited IPO	45.88	100.00
83	Shubhshree Biofuels Energy Limited IPO	16.56	100.00
84	Share Samadhan Limited IPO	24.06	100.00
85	Gajanand International Limited IPO	20.65	100.00
86	Vision Infra Equipment Solutions Limited IPO	106.21	100.00
87	My Mudra Fincorp Limited IPO	33.26	100.00

88	Shree Tirupati Balajee Agro Trading Company Limited IPO	122.43	72.16
89	Namo eWaste Management Limited IPO	51.20	100.00
90	Naturewings Holidays Limited IPO	7.03	100.00
91	Jeyyam Global Foods Limited IPO	73.74	90.00
92	Gala Precision Engineering Limited IPO	135.34	80.59
93	Boss Packaging Solutions Limited IPO	8.41	100.00
94	Travels & Rentals Limited IPO	12.24	100.00
95	Aeron Composite Limited IPO	56.10	100.00
96	Paramatrix Technologies Limited IPO	30.35	89.66
97	Jay Bee Laminations Limited IPO	66.72	75.00
98	Vdeal System Limited IPO	18.08	100.00
99	Indian Phosphate Limited IPO	67.36	100.00
100	Rapid Multimodal Logistics Limited IPO	8.49	100.00
101	Resourceful Automobile Limited IPO	11.99	100.00
102	QVC Exports Limited IPO	17.63	73.24
103	Ideal Technoplast Industries Limited IPO	16.03	100.00
104	Brace Port Logistics Limited IPO	24.41	100.00
105	Forcas Studio Limited IPO	37.44	100.00
106	Broach Lifecare Hospital Limited IPO	4.02	100.00
107	Solve Plastic Products Limited IPO	11.85	100.00
108	Saraswati Saree Depot Limited IPO	104.00	64.99
109	Positron Energy Limited IPO	51.21	100.00
110	Sunlite Recycling Industries Limited IPO	30.24	100.00
111	Aesthetik Engineers Limited IPO	26.47	100.00
112	Ola Electric Mobility Limited IPO	5500.00	89.50

113	Afcom Holdings Limited IPO	73.83	100.00
114	Picture Post Studios Limited IPO	18.72	100.00
115	Dhariwalcorp Limited IPO	25.15	100.00
116	Utssav Cz Gold Jewels Limited IPO	69.50	100.00
117	Sathlokhar Synergys E&C Global Limited IPO	92.93	100.00
118	Bulkcorp International Limited IPO	20.78	100.00
119	Rajputana Industries Limited IPO	23.88	100.00
120	Ashapura Logistics Limited IPO	52.66	100.00
121	Kizi Apparels Limited IPO	5.58	100.00
122	S A Tech Software India Limited IPO	23.01	100.00
123	Esprit Stones Limited IPO	50.42	100.00
124	Clinitech Laboratory Limited IPO	5.78	100.00
125	Aprameya Engineering Limited IPO	29.23	100.00
126	Trom Industries Limited IPO	31.37	100.00
127	Chetana Education Limited IPO	45.90	100.00
128	Manglam Infra and Engineering Limited IPO	27.62	100.00
129	V.L.Infraprojects Limited IPO	18.52	100.00
130	VVIP Infratech Limited IPO	61.21	100.00
131	RNFI Services Limited IPO	70.81	100.00
132	Sanstar Limited IPO	397.10	77.84
133	Kataria Industries Limited IPO	54.58	100.00
134	Macobs Technologies Limited IPO	19.46	100.00
135	Tunwal E-Motors Limited IPO	81.72	70.66
136	Aelea Commodities Limited IPO	51.00	100.00
137	Sati Poly Plast Limited IPO	17.36	100.00
138	Prizor Viztech Limited IPO	25.15	100.00

139	Three M Paper Boards Limited IPO	39.83	100.00
140	Sahaj Solar Limited IPO	52.56	100.00
141	Effwa Infra & Research Limited IPO	43.60	85.02
142	Ganesh Green Bharat Limited IPO	125.23	100.00
143	Ambey Laboratories Limited IPO	42.55	95.25
144	Bansal Wire Industries Limited IPO	745.00	100.00
145	Nephro Care India Limited IPO	41.26	100.00
146	Vraj Iron and Steel Limited IPO	171.00	100.00
147	Diensten Tech Limited IPO	22.08	100.00
148	Allied Blenders and Distillers Limited IPO	1000.00	66.67
149	Akiko Global Services Limited IPO	23.11	100.00
150	Divine Power Energy Limited IPO	22.76	100.00
151	Shivalic Power Control Limited IPO	64.32	100.00
152	Sylvan Plyboard (India) Ltd IPO	28.05	100.00
153	Mason Infratech Limited IPO	30.46	100.00
154	Visaman Global Sales Limited IPO	16.05	100.00
155	Medicamen Organics Limited IPO	10.54	100.00
156	Dindigul Farm Product Limited IPO	34.83	100.00
157	Winny Immigration and Education Services Ltd IPO	9.13	100.00
158	DEE Development Engineers Limited IPO	325.00	77.75
159	Durlax Top Surface Limited IPO	28.56	70.00
160	Falcon Technoprojects India Limited IPO	13.69	100.00
161	Akme Fintrade India Ltd IPO	132.00	100.00
162	GP Eco Solutions India Limited IPO	30.79	100.00
163	United Cotfab Limited IPO	36.29	100.00
164	Sattrix Information Security Limited IPO	21.78	100.00

165	Magenta Lifecare Limited IPO	7.00	100.00
166	3C IT Solutions & Telecoms (India) Limited IPO	8.84	77.27
167	TBI Corn Limited IPO	44.94	100.00
168	Aimtron Electronics Limited IPO	87.02	100.00
169	Associated Coaters Limited IPO	5.11	100.00
170	Ztech India Limited IPO	37.30	100.00
171	Beacon Trusteeship Limited IPO	23.23	71.43
172	Vilas Transcore Limited IPO	95.26	100.00
173	GSM Foils Limited IPO	11.01	100.00
174	Rulka Electricals Limited IPO	19.80	75.00
175	HOAC Foods India Limited IPO	5.54	100.00
176	Quest Laboratories Limited IPO	43.16	100.00
177	Indian Emulsifier Limited IPO	42.39	100.00
178	Mandeep Auto Industries Limited IPO	25.25	100.00
179	Veritaas Advertising Limited IPO	8.48	100.00
180	ABS Marine Services Limited IPO	96.29	100.00
181	Premier Roadlines Limited IPO	40.36	100.00
182	Aztec Fluids & Machinery Limited IPO	24.12	100.00
183	Piotex Industries Limited IPO	14.47	100.00
184	Energy-Mission Machineries (India) Limited IPO	41.15	100.00
185	TGIF Agribusiness Limited IPO	6.39	100.00
186	Silkflex Polymers (India) Limited IPO	18.11	100.00
187	Finelistings Technologies Limited IPO	13.53	100.00
188	Winsol Engineers Limited IPO	23.36	100.00
189	Refractory Shapes Limited IPO	18.60	100.00
190	Slone Infosystems Limited IPO	11.06	100.00

191	Storage Technologies and Automation Ltd IPO	29.95	100.00
192	Amkay Products Limited IPO	12.61	100.00
193	Sai Swami Metals & Alloys Limited IPO	15.00	100.00
194	Emmforce Autotech Limited IPO	53.90	100.00
195	Shivam Chemicals Limited IPO	20.18	100.00
196	Varyaa Creations Limited IPO	20.10	100.00
197	Faalcon Concepts Limited IPO	12.09	100.00
198	Vodafone Idea Limited FPO	18000.00	100.00
199	Ramdevbaba Solvent Limited IPO	50.27	100.00
200	Grill Splendour Services Limited IPO	16.47	100.00
201	Greenhitech Ventures Limited IPO	6.30	100.00
202	DCG Cables & Wires Limited IPO	49.99	100.00
203	Teerth Gopicon Limited IPO	44.40	100.00
204	Aluwind Architectural Limited IPO	29.70	100.00
205	Creative Graphics Solutions India Limited IPO	54.40	100.00
206	Jay Kailash Namkeen Limited IPO	11.93	100.00
207	K2 Infragen Limited IPO	40.54	100.00
208	Yash Optics & Lens Limited IPO	53.15	100.00
209	Radiowalla Network Limited IPO	14.25	100.00
210	TAC Infosec Limited IPO	29.99	100.00
211	Trust Fintech Limited IPO	63.45	100.00
212	SRM Contractors Limited IPO	130.20	100.00
213	Vruddhi Engineering Works Limited IPO	4.76	100.00
214	Blue Pebble Limited IPO	18.14	100.00
215	Aspire & Innovative Advertising Limited IPO	21.97	100.00
216	GConnect Logitech and Supply Chain Limited IPO	5.60	100.00

217	Naman In-Store (India) Limited IPO	25.35	100.00
218	Vishwas Agri Seeds Limited IPO	25.80	100.00
219	Omfurn India Limited FPO	27.00	100.00
220	Chatha Foods Limited IPO	34.00	100.00
221	KP Green Engineering Limited IPO	189.50	100.00
222	Enfuse Solutions Limited IPO	22.44	100.00
223	Enser Communications Limited IPO	16.17	100.00
224	AVP Infracon Limited IPO	52.34	100.00
225	Signoria Creation Limited IPO	9.28	100.00
226	Royal Sense Limited IPO	9.86	100.00
227	Pratham EPC Projects Limited IPO	36.00	100.00
228	Pune E-Stock Broking Limited IPO	38.23	100.00
229	Shree Karni Fabcom Limited IPO	42.29	100.00
230	Koura Fine Diamond Jewelry Limited IPO	5.50	100.00
231	JG Chemicals Limited IPO	165.00	65.69
232	Sona Machinery Limited IPO	51.82	100.00
233	V R Infraspac Limited IPO	20.40	100.00
234	Mukka Proteins Limited IPO	224.00	100.00
235	M.V.K. Agro Food Product Ltd IPO	65.88	100.00
236	Bharat Highways Infrastructure Investment Trust InvIT	2500.00	100.00
237	Platinum Industries Limited IPO	235.32	100.00
238	Exicom Tele-Systems Limited IPO	329.00	76.69
239	Purv Flexipack Limited IPO	40.21	100.00
240	Owais Metal and Mineral Processing Limited IPO	42.69	100.00
241	Sadhav Shipping Limited IPO	38.18	100.00
242	Juniper Hotels Limited IPO	1800.00	100.00

243	Deem Roll Tech Limited IPO	29.26	100.00
244	Zenith Drugs Limited IPO	40.68	100.00
245	Esconet Technologies Limited IPO	28.22	100.00
246	Kalahridhaan Trendz Limited IPO	22.49	100.00
247	Thaai Casting Ltd IPO	47.20	100.00
248	Atmastco Limited IPO	42.20	75.01
249	Interiors and More Limited IPO	42.00	100.00
250	Vibhor Steel Tubes Limited IPO	72.17	100.00
251	Alpex Solar Limited IPO	74.52	100.00
252	Rudra Gas Enterprise Limited IPO	14.16	100.00
253	Rashi Peripherals Limited IPO	600.00	100.00
254	Jana Small Finance Bank Limited IPO	462.00	81.05
255	Capital Small Finance Bank Limited IPO	450.00	86.03
256	Apeejay Surrendra Park Hotels Limited IPO	600.00	65.22
257	Italian Edibles Limited IPO	26.66	100.00
258	Gabriel Pet Straps Limited IPO	8.06	100.00
259	BLS E-Services Limited IPO	310.91	100.00
260	Baweja Studios Limited IPO	72.00	74.07
261	Megatherm Induction Limited IPO	53.91	100.00
262	Harshdeep Hortico Limited IPO	19.09	100.00
263	Mayank Cattle Food Limited IPO	19.44	100.00
264	Fonebox Retail Limited IPO	20.37	100.00
265	DelaPlex Limited IPO	34.56	75.00
266	Docmode Health Technologies Limited IPO	6.71	100.00
267	Nova AgriTech Limited IPO	112.00	77.88
268	EPACK Durable Limited IPO	400.00	62.50

269	Konstelec Engineers Limited IPO	28.70	100.00
270	Euphoria Infotech India Limited IPO	9.60	100.00
271	Qualitek Labs Limited IPO	19.64	100.00
272	Maxposure Limited IPO	20.26	100.00
273	Shree Marutinandan Tubes Limited IPO	14.30	100.00
274	New Swan Multitech Limited IPO	33.11	100.00
275	Australian Premium Solar (India) Limited IPO	28.08	100.00
276	Jyoti CNC Automation Limited IPO	1000.00	100.00

About Expansion:

The information about IPO businesses' expansion values and the proportion allotted to expansion is shown in the above table. The percentage column shows the portion of the total expenditures allocated expressly to growth efforts, whereas the expansion demand for each firm is stated in crores. From very tiny expansions to significant finance needs, this table offers an organized and transparent picture of how businesses are using IPO proceeds.

With some firms claiming a 100% allocation, it is clear from the statistics that many are using their IPO revenues exclusively for expansion. However, certain businesses, like Indo Farm Equipment Limited, show partial allocation, suggesting a varied use of cash. All things considered, this combined dataset of 276 initial public offerings aids in spotting patterns in the distribution of funds and offers a solid basis for more research into the connection between growth emphasis and market success.

OFS Heavy IPOs:**1.3 Table showing the OFS Heavy Details**

Sl.no	Company	OFS (Crs)	% of OFS
1	Unimech Aerospace and Manufacturing Limited IPO	250.00	50.00
2	Carraro India Limited IPO	1250.00	100.00
3	Transrail Lighting Limited IPO	438.90	52.32
4	DAM Capital Advisors Limited IPO	840.25	100.00
5	Mamata Machinery Limited IPO	179.39	100.00
6	Newmalayalam Steel Limited IPO	41.76	50.00
7	Concord Enviro Systems Limited IPO	325.33	65.02
8	International Gemmological Institute (India) Limited IPO	2750.00	65.09
9	Inventurus Knowledge Solutions Limited IPO	2497.92	100.00
10	Vishal Mega Mart Limited IPO	8000.00	100.00
11	Sai Life Sciences Limited IPO	2092.62	68.78
12	Suraksha Diagnostic Limited IPO	846.25	100.00
13	Rajesh Power Services Limited IPO	67.00	41.75
14	Zinka Logistics Solution Limited IPO	564.72	50.66
15	Mangal Compusolution Limited IPO	16.23	50.00
16	Niva Bupa Health Insurance Company Limited IPO	1400.00	63.64
17	Swiggy Limited IPO	6828.43	60.28
18	Sagility India Limited IPO	2106.60	100.00
19	Afcons Infrastructure Limited IPO	4180.00	76.98
20	Godavari Biorefineries Limited IPO	229.75	41.42
21	Hyundai Motor India Limited IPO	27870.00	100.00
22	Khyati Global Ventures Limited IPO	7.92	43.28
23	Bajaj Housing Finance Limited IPO	3000.00	45.73
24	Kross Limited IPO	250.00	50.00
25	Mach Conferences and Events Limited IPO	75.13	59.97
26	Sathlokhar Synergys E&C Global Limited IPO	686.68	82.27
27	ECOS (India) Mobility & Hospitality Limited IPO	601.20	100.00
28	Premier Energies Limited IPO	1539.00	54.37

29	Orient Technologies Limited IPO	94.76	44.12
30	Interarch Building Products Limited IPO	400.29	66.68
31	Brainbees Solutions Limited IPO	2527.73	60.27
32	Unicommerce eSolutions Limited IPO	276.57	100.00
33	Ceigall India Limited IPO	568.41	45.38
34	Akums Drugs and Pharmaceuticals Limited IPO	1176.74	63.38
35	Emcure Pharmaceuticals Limited IPO	1152.03	59.02
36	Petro Carbon and Chemicals Limited IPO	113.16	100.00
37	Stanley Lifestyles Limited IPO	337.02	62.76
38	GEM Enviro Management Limited IPO	33.70	75.01
39	Awfis Space Solutions Limited IPO	470.93	78.63
40	Go Digit General Insurance Limited IPO	1489.65	56.97
41	TBO Tek Limited IPO	1150.81	74.21
42	Aadhar Housing Finance Limited IPO	2000.00	66.67
43	Indegene Limited IPO	1081.76	58.74
44	JNK India Limited IPO	349.47	53.81
45	Bharti Hexacom Limited IPO	4275.00	100.00
46	Krystal Integrated Services Limited IPO	125.13	41.69
47	Popular Vehicles & Services Limited IPO	351.55	58.44
48	Gopal Snacks Limited IPO	650.00	100.00
49	R K SWAMY Limited IPO	250.56	59.16
50	GPT Healthcare Limited IPO	485.14	92.38
51	Entero Healthcare Solutions Limited IPO	600.00	100.00
52	Polysil Irrigation Systems Limited IPO	9.63	55.25
53	Brisk Technovision Limited IPO	12.48	100.00
54	Medi Assist Healthcare Services Limited IPO	1171.58	100.00

About OFS:

The IPO firms that have raised money using the Offer for Sale (OFS) process are shown in the above table. The OFS component represents promoters or current shareholders selling their stock to the public without directly adding to the company's capital base, in contrast to expansion-

focused issues. The percentage figures show the percentage of the IPO devoted to this method, while the values show the size of the OFS in crores. This gives a clear picture of how businesses prioritize stock dilution or promoter removal above new capital injection.

Comparative Analysis of IPO Performance: OFS vs Expansion Issues:

The IPO market comprises two broad categories of offerings — *Offer for Sale (OFS)*, where existing shareholders sell their stakes, and *Expansion Issues* (Fresh Issues), where companies raise new capital for growth. Understanding the performance of these two categories helps assess investor sentiment, pricing strategies, and post-listing outcomes.

The table below summarises the average Grey Market Premium (GMP), subscription levels, Beta (volatility), and listing gains for both categories, based on a dataset of 330 IPOs. This comparison forms the foundation for evaluating which structure generates greater demand and delivers superior returns to investors.

1.4 Table showing the Average Values of GMP, Subscription, beta and listing gain.

Category	Average GMP	Average Subscription (times)	Average Beta	Average Listing Gain %	Count of IPOs
OFS	103.26	53.68	0.328	27.47	54
Expansion	62.61	214.59	0.418	52.41	276

IPO Metrics - Infographic Style KPI Cards

Avg GMP 103.26 OFS	Avg Subscription 53.68 OFS	Avg Beta 0.33 OFS	Avg Listing Gain % 27.47 OFS
Avg GMP 62.61 Expansion	Avg Subscription 214.59 Expansion	Avg Beta 0.42 Expansion	Avg Listing Gain % 52.41 Expansion

This **infographic-style KPI card** shows that OFS IPOs show stronger pre-listing sentiment with a higher average GMP (₹103.26) compared to Expansion issues (₹62.61), the latter attract significantly greater investor participation, as seen in their much higher average subscription levels (214.59× versus 53.68×). Expansion IPOs also exhibit slightly higher volatility (Beta 0.418 vs 0.328) but reward investors with substantially better average listing gains (52.41% vs 27.47%). This suggests that while OFS offerings may be perceived as more stable and less volatile, Expansion issues tend to generate greater excitement, higher demand, and superior short-term returns, making them more appealing for listing-day traders.

Event study Model:

This is the analysis that evaluates the percentage change in an IPO's share price from its issue price on the first day of trading. This metric reflects immediate market reaction to the offering and is influenced by factors such as investor sentiment, subscription levels, company fundamentals, and broader market conditions.

In this study, listing day returns are compared between **OFS-heavy** and **Expansion-focused** IPOs to assess whether the intended use of IPO proceeds impacts short-term market performance. The analysis highlights differences in average returns, as well as the range between highest and lowest outcomes, providing insight into both potential rewards and associated risks for investors.

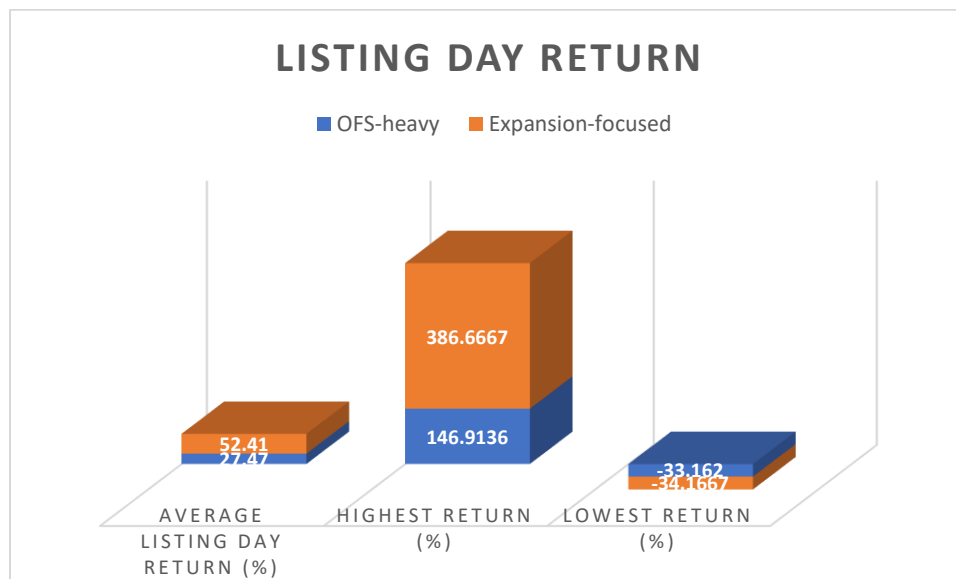
One of the key objectives of this study is to compare the listing day returns of OFS-heavy IPOs and Expansion-focused IPOs. Listing day return is calculated as:

$$\text{Listing Day Return (\%)} = \frac{\text{Issue Price} - \text{Listing Price}}{\text{Issue Price}} \times 100$$

Average Listing Day Return by IPO Category:

1.5 Table showing average listing Day Return

Category	Average Listing Day Return (%)	Highest Return (%)	Lowest Return (%)
OFS-heavy	27.47	146.9136	-33.162
Expansion-focused	52.41	386.6667	-34.1667



Interpretation of Listing Day Returns

The findings indicate that Expansion-focused IPOs have delivered significantly higher average listing day returns (52.41%) compared to OFS-heavy IPOs (27.47%). This pattern suggests that

investors tend to reward companies that allocate IPO proceeds toward expansion, viewing them as having stronger long-term growth potential.

In contrast, OFS-heavy IPOs typically yield more modest first-day gains. This may stem from the perception that OFS issues primarily serve as an exit route for existing shareholders, offering limited immediate operational benefits to the company.

The return range further supports this distinction. Expansion-focused IPOs demonstrate a wider performance spread, from -34.17% to 386.67%, indicating both higher upside potential and greater downside risk. OFS-heavy IPOs, with a range of -33.16% to 146.91%, show relatively narrower dispersion, suggesting more stable yet lower listing performance.

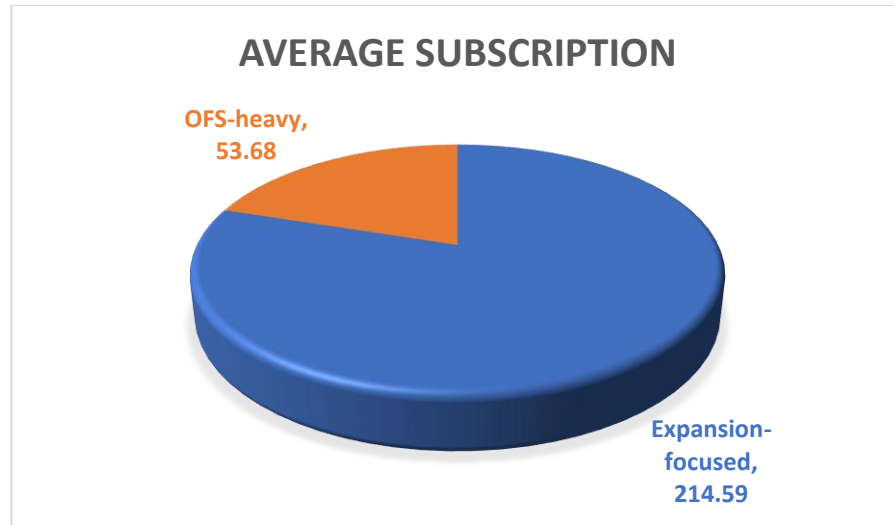
Subscription Analysis:

Subscription analysis examines the level of investor demand for IPOs during the bidding phase, measured by the number of times an issue is subscribed relative to the shares offered. Higher subscription levels typically indicate strong market interest, greater investor confidence, and a higher likelihood of robust listing performance.

In this study, subscription data is used to compare OFS-heavy and Expansion-focused IPOs, enabling an assessment of whether the intended use of proceeds influences investor participation. By analyzing average subscription levels across categories, the aim is to identify patterns in investor preference and understand how these trends correlate with subsequent market outcomes.

1.6 Table showing average Subscription

Category	Average Subscription (Times)
Expansion-focused	214.59
OFS-heavy	53.68



Interpretation

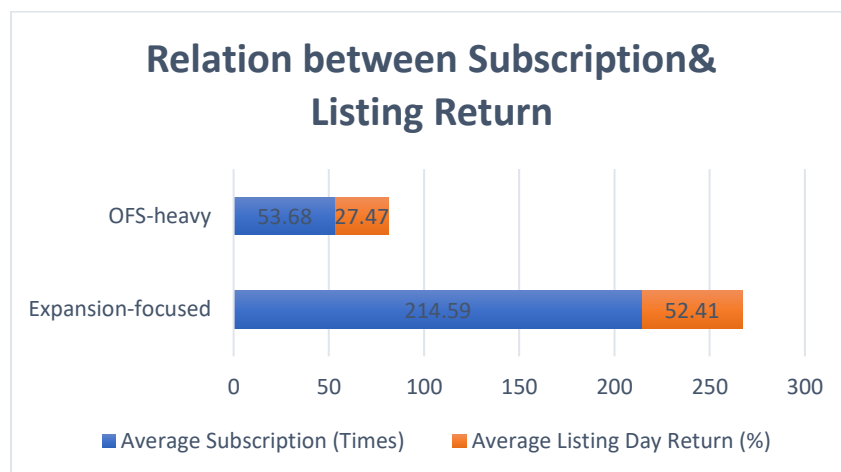
The table and chart highlight that Expansion-focused IPOs recorded an average subscription of 214.59 times, nearly four times higher than the 53.68 times observed for OFS-heavy IPOs. This significant disparity underscores investors' stronger interest in companies directing IPO proceeds toward business expansion, likely due to expectations of higher growth and long-term value creation.

The higher subscription levels for Expansion-focused IPOs also mirror their superior listing day returns, suggesting that intense investor demand during the subscription phase often translates into better initial market performance. In contrast, OFS-heavy IPOs, with lower subscription averages, may face more subdued debut performance due to perceptions of limited immediate operational benefits.

Relationship Between Average Subscription Levels and Listing Day Return

1.7 Table showing average Subscription and listing Gain

Category	Average Subscription (Times)	Average Listing Day Return (%)
Expansion-focused	214.59	52.41
OFS-heavy	53.68	27.47



Interpretation:

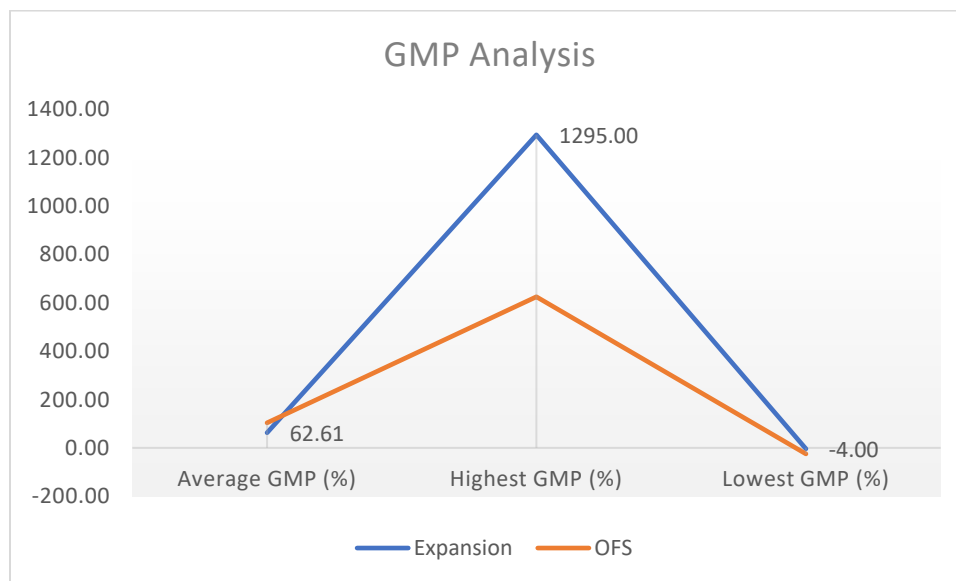
The analysis shows a clear positive relationship between average subscription levels and listing day returns. Expansion-focused IPOs, which attracted an average subscription of 214.59 times, delivered significantly higher average listing day gains of 52.41%, indicating strong investor confidence in companies utilizing IPO proceeds for business growth and future value creation. In contrast, OFS-heavy IPOs recorded a much lower average subscription of 53.68 times and correspondingly modest listing day returns of 27.47%, reflecting weaker investor enthusiasm when funds are not directed toward expansion but rather toward providing exits for existing shareholders. This contrast highlights that investor sentiment and demand are strongly influenced by the utilization of IPO proceeds, with growth-focused issues commanding greater market interest and superior listing performance.

Grey Market Premium (GMP) Analysis:

The Grey Market Premium (GMP) serves as an informal indicator of investor sentiment and demand for an IPO before its official listing on the stock exchange. It reflects the extra amount investors are willing to pay over the issue price in the unofficial market, often acting as a predictor of potential listing gains. While GMP is not an official measure and can be speculative, it provides valuable insights into market expectations and pre-listing enthusiasm. By comparing GMP across Expansion-focused and OFS-heavy IPOs, we can gauge how market perceptions differ based on the intended use of IPO proceeds and the underlying growth prospects of the companies.

1.8 Table showing average, Highest, and Lowest GMP

Category	Average GMP (%)	Highest GMP (%)	Lowest GMP (%)
Expansion	62.61	1295	-4
OFS	103.26	625	-25



Interpretation:

The analysis reveals a notable contrast between **Expansion-focused IPOs** and **OFS-heavy IPOs** in terms of Grey Market Premiums (GMP). On average, OFS-heavy IPOs command a higher GMP of ₹103.26 compared to ₹62.61 for Expansion-focused IPOs. This indicates that, prior to listing, the market often places a stronger speculative premium on OFS-heavy issues, possibly due to brand recognition, established business stability, or market hype despite the limited operational benefit from IPO proceeds.

However, the highest GMP recorded is significantly greater for Expansion-focused IPOs (₹1295) compared to OFS-heavy IPOs (₹625), suggesting that while their average GMP may be lower, select expansion-oriented issues can generate extremely high market enthusiasm before listing.

On the downside, both categories have experienced negative GMPs, with OFS-heavy IPOs showing a sharper negative at ₹-25 compared to ₹-4 for Expansion-focused IPOs. This reflects the occasional investor skepticism or weak demand in certain offerings.

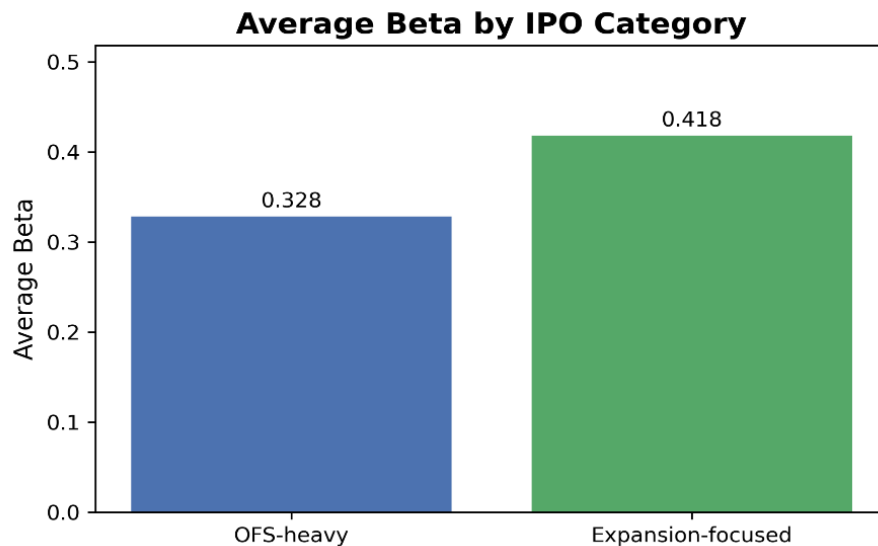
Overall, while OFS-heavy IPOs tend to carry a higher average GMP, Expansion-focused IPOs have a higher potential peak GMP, indicating greater upside in select cases.

Beta Value Analysis:

Beta is a measure of a stock's volatility relative to the overall market. A beta value greater than 1 indicates higher volatility than the market, while a beta value less than 1 reflects lower volatility. In the context of IPOs, beta helps assess the systematic risk associated with newly listed companies. Lower beta values suggest more stability, while higher beta values indicate greater sensitivity to market fluctuations.

1.9 Table showing average Beta

Category	Average Beta
OFS-heavy	0.328
Expansion-focused	0.418



Interpretation:

The analysis shows that **Expansion-focused IPOs** have a higher average beta (0.418) compared to **OFS-heavy IPOs** (0.328). This implies that expansion-oriented companies tend to be more sensitive to overall market movements, potentially due to their higher growth ambitions and exposure to economic cycles. In contrast, OFS-heavy IPOs show relatively lower beta values, suggesting they are less volatile and may offer more stability to investors. However, the lower volatility could also be associated with more modest return expectations compared to their expansion-focused counterparts.

Alpha value analysis using T-test and Decision Tree:

Alpha represents the abnormal return generated by an IPO after adjusting for market performance, making it a critical measure of value creation for investors. In this study, we analyze Alpha values across two categories of IPOs – Expansion-focused issues and OFS-heavy issues (Offer for Sale) – to understand whether the mode of fund allocation influences post-listing performance. To achieve this, we employ two complementary statistical techniques.

First, the Independent Samples T-test is used to compare the mean Alpha values between Expansion and OFS IPOs, testing whether the difference in returns is statistically significant. This provides an inferential assessment of how the two groups perform relative to each other.

Second, a Decision Tree (CRT method) is applied to classify IPOs based on their category and predict Alpha outcomes. This model highlights the role of IPO type as a key determinant of excess returns while also quantifying group differences through predicted mean values.

Together, these methods provide both statistical validation and predictive insight into how IPO categories differ in generating abnormal returns, offering investors and policymakers a clearer understanding of market dynamics.

Hypotheses:

- **H0 (Null Hypothesis):** There is no significant difference in Alpha between OFS-backed IPOs and Expansion-backed IPOs.
- **H1 (Alternative Hypothesis):** Expansion-backed IPOs deliver significantly higher Alpha compared to OFS-backed IPOs.

T-Test:

Group Statistics

2.0 Table showing the value of T-Test

	<u>Category_Nu</u> <u>m</u>	<u>N</u>	<u>Mean</u>	<u>Std. Deviation</u>	<u>Std. Error</u> <u>Mean</u>
<u>Alpha</u>	<u>.00</u>	<u>276</u>	<u>43.2086155</u>	<u>64.34187091</u>	<u>3.87292551</u>
	<u>1.00</u>	<u>54</u>	<u>18.7007304</u>	<u>38.14189443</u>	<u>5.19045440</u>

Group Statistics (Alpha)

Interpretation:

The descriptive outcomes of Alpha for OFS IPOs and expansion are shown in the group statistics table. The mean Alpha for expansion initial public offerings (IPOs) (N = 276) is 43.21 with a standard deviation of 64.34, suggesting comparatively greater and more erratic performance. On the other hand, OFS IPOs (N = 54) exhibit poorer performance and relatively less variance, with a significantly lower mean Alpha of 18.70 and a standard deviation of 38.14. The sample mean for expansion IPOs is calculated more precisely because of the greater sample size, as indicated by the standard error of the mean, which is 3.87 for expansion IPOs and 5.19 for OFS IPOs. Although there is more variation in returns for expansion issues, overall descriptive data show that expansion IPOs often provide higher Alpha values than OFS IPOs.

Independent sample T-test:

2.1 Table showing the value of Independent Sample t-test

Independent Samples Test										
		Levene's Test for Equality of Variances		t-test for Equality of Means						
		F	Sig.	t	df	Sig. (2-tailed)	Mean Difference	Std. Error Difference	95% Confidence Interval of the Difference	
									Lower	Upper
Alpha	Equal variances assumed	8.201	.004	2.705	328	.007	24.50788514	9.05855079	6.68769725	42.32807302
	Equal variances not assumed			3.784		.000	24.50788514	6.47613842	11.68687946	37.32889081

Independent Samples T-Test (Alpha)

Interpretation:

The assumption of equal variances is broken, according to the significance value of 0.004 (< 0.05) obtained from the Levene's Test for Equality of Variances. As a result, the findings in the row labeled "Equal variances not assumed" are more trustworthy. With a significance (p-value) of 0.000 (< 0.05), the t-value is 3.784, according to the t-test findings. This suggests that the Alpha values of OFS IPOs and expansion IPOs differ statistically significantly.

Compared to OFS IPOs, expansion IPOs typically have an Alpha that is 24.5 units higher, as seen by the mean difference of 24.51. The importance of this discrepancy is further supported by the fact that zero is excluded from the 95% confidence interval (11.68 to 37.33).

Thus, the analysis provides strong evidence to conclude that Expansion IPOs significantly outperform OFS IPOs in terms of Alpha values.

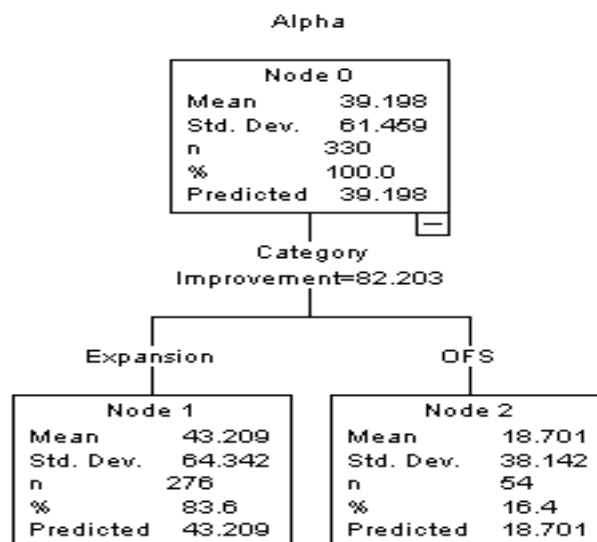
Decision Tree:

2.2 Table showing the Value of Decision Tree

Model Summary

Specifications	Growing Method	CRT
	Dependent Variable	Alpha
	Independent Variables	Category
	Validation	None
Results	Maximum Tree Depth	5
	Minimum Cases in Parent Node	100
	Minimum Cases in Child Node	50
	Independent Variables Included	Category
	Number of Nodes	3
Results	Number of Terminal Nodes	2
	Depth	1

2.3 table showing the value of Alpa by IPO category



Interpretation:

The decision tree model was built using **Category (Expansion vs. OFS)** as the independent variable and **Alpha** as the dependent variable.

- At the **root node (Node 0)**, the overall mean Alpha for all IPOs is **39.20**, with a standard deviation of **61.46** across 330 cases.
- The tree split on **Category**, showing that this is the strongest predictor of Alpha.

Node 1 (Expansion IPOs):

- Mean Alpha = **43.21**
- Standard Deviation = **64.34**
- Sample size = **276 (83.6% of total)**
- Predicted Alpha = **43.21**

Node 2 (OFS IPOs):

- Mean Alpha = **18.70**
- Standard Deviation = **38.14**
- Sample size = **54 (16.4% of total)**
- Predicted Alpha = **18.70**

This indicates that **Expansion IPOs consistently achieve higher Alpha compared to OFS IPOs**, with a notable gap (**43.21 vs. 18.70**).

The improvement value (**82.203**) shows that splitting the dataset by IPO category significantly reduces variance and improves prediction accuracy, confirming that **IPO type is a key determinant of Alpha performance**.

Gain Summary for Nodes

2.4 table showing the Information about mean value

Node	N	Percent	Mean
1	276	83.6%	43.2086155
2	54	16.4%	18.7007304

Growing Method: CRT

Dependent Variable: Alpha

- **Node 1 (Expansion IPOs):**
 - Sample size = 276 IPOs (83.6% of dataset)
 - Mean Alpha = 43.21
- **Node 2 (OFS IPOs):**
 - Sample size = 54 IPOs (16.4% of dataset)
 - Mean Alpha = 18.70

Interpretation:

The Gain Summary shows that the **Expansion IPOs dominate the dataset (83.6%) and deliver significantly higher Alpha (43.21)** compared to OFS IPOs (**18.70**). This confirms the trend seen in the Decision Tree that Expansion IPOs are stronger performers in terms of risk-adjusted returns. The fact that Expansion IPOs form the **majority of the sample** strengthens the reliability of this result.

Table 2.5 Showing the information about the Risk

Estimate	Std. Error
3683.547	578.547

- **Risk Estimate = 3683.547**
- **Std. Error = 578.547**
- Growing Method = **CRT (Classification and Regression Tree)**
- Dependent Variable = **Alpha**

Interpretation:

The risk estimate represents the **mean squared error (MSE)** of the decision tree model when predicting Alpha. In this case, the value (**3683.55**) indicates the amount of variance in Alpha not explained by the model. The standard error (**578.55**) provides the uncertainty range of this risk estimate.

While the error is relatively high due to the large standard deviation in Alpha values, the decision tree still successfully highlights **IPO Category as the most important predictor of Alpha**. This means that, even though Alpha varies considerably across companies, the Expansion vs. OFS split is a meaningful classification rule.

Regression Model on the Effect of IPO Category on Listing Gain:

The objective of this regression analysis is to examine whether the type of IPO (OFS-heavy vs. Expansion-focused) significantly influences Listing Gain. The dependent variable is Listing Gain (% return on listing day), and the independent variable is IPO Category (coded: 0 = Expansion-focused, 1 = OFS-heavy).

Hypotheses

- **H₀:** IPO Category has no significant effect on Listing Gain.
- **H₁:** IPO Category has a significant effect on Listing Gain.

Model Summary for Regression:

Predictor as IPO Category

2.6 table showing the Model Summary

Model Summary

Model	R	R Square	Adjusted R Square	Std. Error of the Estimate
1	.152 ^a	.023	.020	60.19298

a. Predictors: (Constant), Category_num

The R^2 value of **0.023** indicates that IPO Category explains **2.3% of the variation** in Listing Gain. While this explanatory power is modest, the relationship is statistically significant

R (connection Coefficient = 0.152) suggests a modest positive linear connection between the independent variable (IPO Category) and dependent variable (Listing Gain). While the connection points in a good direction, its strength is low.

ANOVA^a

2.7 table showing the information about the Anova value

Model		Sum of Squares	df	Mean Square	F	Sig.
1	Regression	28091.851	1	28091.851	7.753	.006 ^b
	Residual	1188407.822	328	3623.195		
	Total	1216499.673	329			

Interpretation:

Since the significance value ($p = 0.006$) is less than 0.05, the regression model is statistically significant. Thus, IPO category does affect listing gain.

2.8 Table showing the information about the Coefficient value

Coefficients ^a						
Model		Unstandardized Coefficients		Standardized Coefficients	t	Sig.
		B	Std. Error	Beta		
1	(Constant)	52.414	3.623		14.466	0
	Category_num	-24.94	8.957	-0.152	-2.784	0.006
a. Dependent Variable: ListingGain						

- The constant (52.414) represents the average listing gain for Expansion-focused IPOs (Category = 0).
- The coefficient for Category_num (-24.940) means that OFS-heavy IPOs (Category = 1) have 24.94 percentage points lower listing gain compared to Expansion-focused IPOs.
- Since the p-value ($0.006 < 0.05$), this difference is statistically significant.

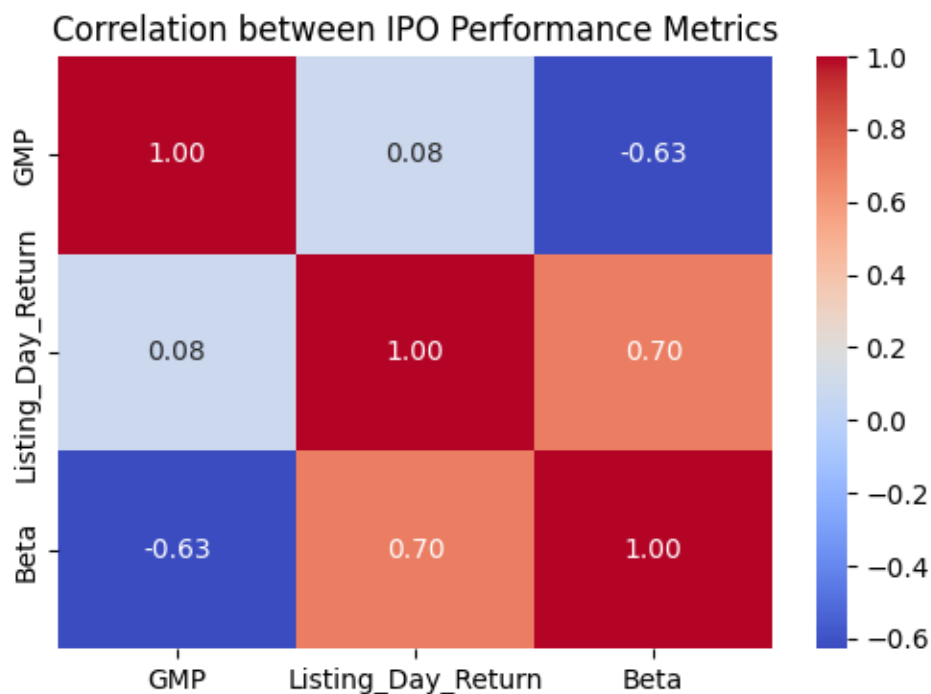
Correlation Analysis of IPO Metrics:

This analysis measures the degree of association between Grey Market Premium (GMP in ₹), Listing Day Return (%), and Beta (risk measure).

A positive correlation means both variables move in the same direction, while a negative correlation means they move in opposite directions. The correlation coefficient ranges from -1 (perfect negative) to $+1$ (perfect positive).

2.9 Table showing Correlation of GMP, Listing Day & Beta

Metric	GMP	Listing Day Return	Beta
GMP	1	0.081	-0.627
Listing Day Return	0.081	1	0.697
Beta	-0.627	0.697	1



Interpretation:

The Grey Market Premium (GMP) has virtually little predictive value for day-one listing success in this dataset, as seen by the very weak and positive correlation between GMP and Listing Day Return (0.081). Because GMP is frequently regarded as a trustworthy indicator of market mood and anticipated listing benefits, this discovery is significant. The hoopla in the grey market, however, did not always result in actual listing day returns in this instance, suggesting a potential discrepancy between speculative demand and actual market activity.

In contrast, there is a relatively substantial negative connection between GMP and Beta (-0.627). This indicates that IPOs with larger GMPs typically had lower beta values, which suggests less volatility after listing. To put it another way, IPOs that sparked a lot of pre-listing excitement were typically seen as safer and more reliable investments. This pattern implies that market favorites solidified their position as the market's favored options by drawing in investor groups looking for comparatively reduced risk exposure in addition to higher demand.

Lastly, there is a substantial positive correlation (0.697) between Listing Day Return and Beta, indicating that more volatility (Beta) was associated with bigger listing gains in the sample. This suggests that investors were rewarded more on the first day of trading for riskier initial public offerings (IPOs), even if these gains would have higher negative risks. This suggests that investors seeking larger listing day returns were probably exposed to a great deal of uncertainty in later performance, even if it also represents the traditional risk-return tradeoff in financial markets. When taken as a whole, these correlations highlight the fact that investor zeal, perceived risk, and actual listing results do not always line up precisely, exposing significant subtleties in IPO dynamics.

Capital Asset Pricing Model (CAPM):

The Capital Asset Pricing Model (CAPM) is a widely used model in finance to determine the expected return on an asset based on its systematic risk. It was developed by William Sharpe (1964) and is built on the principle that investors need to be compensated in two ways:

1. Time value of money – through a risk-free rate (e.g., government bonds).
2. Risk premium – extra return for taking on risk above the market average.

CAPM Formula:

$$\underline{E(R_i) = R_f + \beta_i \times (E(R_m) - R_f)}$$

Where:

- $E(R_i)$ = Expected return on asset i
- R_f = Risk-free rate
- β_i = Beta (systematic risk measure of asset i relative to market)
- $E(R_m)$ = Expected market return
- $E(R_m) - R_f$ = Market risk premium

Interpretation

- $\text{Beta} < 1 \rightarrow$ Asset is less volatile than the market (defensive).
- $\text{Beta} > 1 \rightarrow$ Asset is more volatile than the market (aggressive).
- Positive Alpha (Actual return $>$ Expected return) $\rightarrow$ Asset outperformed CAPM predictions.
- Negative Alpha $\rightarrow$ Underperformed CAPM expectations.

Assumptions of CAPM

- Investors hold diversified portfolios.
- No transaction costs or taxes.
- Risk-free borrowing and lending are possible.
- All investors have the same expectations for returns and risk.

Methodology:

Step 1 – Expected Return Calculation

For each IPO, the expected return was calculated using the CAPM formula:

$$E(R_i) = R_f + \beta_i \times (R_m - R_f)$$

This formula calculates the return an investor should theoretically require, given the systematic risk (Beta) of the IPO relative to the overall market.

Step 2 – Alpha Calculation

Once the expected return was determined, **Alpha** was calculated as:

$$\text{Alpha} = \text{Actual Return} - \text{Expected Return}$$

Where:

- **Actual Return** = Listing Gain %
- **Expected Return** = CAPM-based prediction.

Alpha serves as a measure of performance:

- **Positive Alpha** → The IPO delivered returns higher than CAPM expectations, indicating outperformance.
- **Negative Alpha** → The IPO fell short of CAPM expectations, indicating underperformance.

IPO Performance Evaluation Using Beta and Alpha:

3.0 Table showing the complete picture of IPOs through CAPM

Parameter	Value
Risk-free Rate (Rf)	7.2%
Expected Market Return (Rm)	12%
Market Risk Premium (Rm-Rf)	4.8%

Company	Category	Beta	Actual Return	Expected Return %	Listing Gain	Alpha %
Indo Farm Equipment Limited IPO	Expansion	1.31	28.33	13.48	28.33	14.85
Technichem Organics Limited IPO	Expansion	0.05	9.09	7.45	9.09	1.64
Citichem India Limited IPO	Expansion	1.00	0.00	12.00	0.00	-12.00
Anya Polytech & Fertilizers Limited IPO	Expansion	0.13	22.14	7.82	22.14	14.32
Ventive Hospitality Limited IPO	Expansion	1.50	11.74	14.41	11.74	-2.67
Senores Pharmaceuticals Limited IPO	Expansion	1.44	51.84	14.12	51.84	37.72
Sanathan Textiles Limited IPO	Expansion	1.01	30.56	12.03	30.56	18.53
Identical Brains Studios Limited IPO	Expansion	0.14	75.93	7.87	75.93	68.05
NACDAC Infrastructure Limited IPO	Expansion	1.02	90.00	12.10	90.00	77.90
Hamps Bio Limited IPO	Expansion	1.33	90.00	13.58	90.00	76.42
Yash Highvoltage Limited IPO	Expansion	1.07	90.00	12.33	90.00	77.67
Purple United Sales Limited IPO	Expansion	0.20	57.94	8.16	57.94	49.78
Supreme Facility Management Limited IPO	Expansion	-1.16	-1.32	1.63	-1.32	-2.95
One Mobikwik Systems Limited IPO	Expansion	2.07	58.51	17.14	58.51	41.37
Jungle Camps India Limited IPO	Expansion	1.36	90.00	13.74	90.00	76.26
Toss The Coin Limited IPO	Expansion	0.21	90.00	8.18	90.00	81.82
Dhanlaxmi Crop Science Ltd IPO	Expansion	0.25	90.00	8.40	90.00	81.60
Emerald Tyre Manufacturers Limited IPO	Expansion	0.05	90.00	7.44	90.00	82.56
Nisus Finance Services Co Limited IPO	Expansion	0.98	25.00	11.92	25.00	13.08
Property Share Investment Trust SM REIT	Expansion	-0.07	0.00	6.87	0.00	-6.87
Ganesh Infracore Limited IPO	Expansion	-0.46	90.00	4.99	90.00	85.01
Agarwal Toughened Glass India Limited IPO	Expansion	0.22	25.00	8.26	25.00	16.74
Apex Ecotech Limited IPO	Expansion	-0.30	90.00	5.76	90.00	84.24
Abha Power and Steel Limited IPO	Expansion	-0.18	9.20	6.34	9.20	2.86
Rajputana Biodiesel Limited IPO	Expansion	0.31	90.00	8.69	90.00	81.31
C2C Advanced Systems Limited IPO	Expansion	0.16	90.00	7.97	90.00	82.03
Enviro Infra Engineers Limited IPO	Expansion	1.53	47.30	14.53	47.30	32.76
Lamosaic India Limited IPO	Expansion	0.00	-18.00	7.20	-18.00	-25.20
NTPC Green Energy Limited IPO	Expansion	1.19	3.33	12.89	3.33	-9.56
Onyx Biotech Limited IPO	Expansion	0.00	-11.39	7.20	-11.39	-18.59
Neelam Linens and Garments (India) Ltd IPO	Expansion	0.53	66.88	9.74	66.88	57.13
ACME Solar Holdings Limited IPO	Expansion	0.92	-10.38	11.64	-10.38	-22.02
Usha Financial Services Limited IPO	Expansion	-0.84	-2.38	3.17	-2.38	-5.55
Danish Power Limited IPO	Expansion	-0.28	50.00	5.86	50.00	44.14
United Heat Transfer Limited IPO	Expansion	-0.14	3.31	6.53	3.31	-3.22

OBSC Perfection Limited IPO	Expansion	-0.04	10.00	7.01	10.00	2.99
Waaree Energies Limited IPO	Expansion	1.31	69.66	13.47	69.66	56.19
Deepak Builders & Engineers India Limited IPO	Expansion	1.44	-2.22	14.13	-2.22	-16.35
Premium Plast Limited IPO	Expansion	0.46	5.00	9.41	5.00	-4.41
Freshara Agro Exports Limited IPO	Expansion	0.17	16.38	8.02	16.38	8.36
Lakshya Powertech Limited IPO	Expansion	-0.61	90.00	4.27	90.00	85.73
Pranik Logistics Limited IPO	Expansion	-0.09	2.60	6.77	2.60	-4.17
Garuda Construction and Engineering Limited IPO	Expansion	1.74	8.63	15.56	8.63	-6.93
Shiv Texchem Limited IPO	Expansion	1.37	43.98	13.79	43.98	30.18
NeoPolitan Pizza and Foods Limited IPO	Expansion	0.74	-3.75	10.76	-3.75	-14.51
Paramount Dye Tec Limited IPO	Expansion	0.45	-13.08	9.36	-13.08	-22.44
Subam Papers Limited IPO	Expansion	1.50	1.32	14.38	1.32	-13.07
Saj Hotels Limited IPO	Expansion	0.00	-15.38	7.20	-15.38	-22.59
HVAX Technologies Limited IPO	Expansion	0.29	6.11	8.59	6.11	-2.48
Divyadhan Recycling Industries Limited IPO	Expansion	0.20	31.25	8.16	31.25	23.09
Sahasra Electronics Solutions Limited IPO	Expansion	0.42	90.00	9.22	90.00	80.78
Forge Auto International Limited IPO	Expansion	0.11	4.63	7.73	4.63	-3.10
Diffusion Engineers Limited IPO	Expansion	0.59	11.90	10.05	11.90	1.86
Nexxus Petro Industries Limited IPO	Expansion	1.30	20.00	13.42	20.00	6.58
KRN Heat Exchanger and Refrigeration Limited IPO	Expansion	1.62	113.64	14.98	113.64	98.66
TechEra Engineering Limited IPO	Expansion	-0.08	52.44	6.82	52.44	45.62
Unilex Colours and Chemicals Limited IPO	Expansion	-0.10	2.30	6.72	2.30	-4.42
Thinking Hats Entertainment Solutions Limited IPO	Expansion	-0.38	36.36	5.38	36.36	30.99
WOL 3D India Limited IPO	Expansion	-0.24	20.03	6.05	20.03	13.99
Rappid Valves (India) Limited IPO	Expansion	-0.27	40.54	5.90	40.54	34.64
Manba Finance Limited IPO	Expansion	1.12	25.00	12.59	25.00	12.41
BikeWo GreenTech Limited IPO	Expansion	-0.08	-27.42	6.81	-27.42	-34.23
SD Retail Limited IPO	Expansion	20.00	10.69	103.20	10.69	-92.51
Phoenix Overseas Limited IPO	Expansion	-0.15	0.00	6.48	0.00	-6.48
Avi Ansh Textile Limited IPO	Expansion	-0.13	9.68	6.58	9.68	3.10
Kalana Ispat Limited IPO	Expansion	0.04	-31.59	7.39	-31.59	-38.98
Paramount Speciality Forgings Limited IPO	Expansion	0.00	40.68	7.20	40.68	33.48
Arkade Developers Limited IPO	Expansion	1.86	37.42	16.12	37.42	21.30
Osel Devices Limited IPO	Expansion	-0.08	23.78	6.82	23.78	16.97
Northern Arc Capital Limited IPO	Expansion	1.23	33.46	13.09	33.46	20.37
Pelatro Limited IPO	Expansion	-0.18	37.50	6.34	37.50	31.16

Western Carriers (India) Limited IPO	Expansion	1.23	-1.16	13.08	-1.16	-14.24
Envirotech Systems Limited IPO	Expansion	-0.02	90.00	7.10	90.00	82.90
Deccan Transcon Leasing Limited IPO	Expansion	-0.07	7.41	6.86	7.41	0.54
Popular Foundations Limited IPO	Expansion	0.58	0.00	9.98	0.00	-9.98
Sodhani Academy of Fintech Enablers Limited IPO	Expansion	0.90	32.50	11.52	32.50	20.98
Excellent Wires and Packaging Limited IPO	Expansion	0.38	-13.33	9.02	-13.33	-22.36
Innomet Advanced Materials Limited IPO	Expansion	0.00	90.00	7.20	90.00	82.80
P N Gadgil Jewellers Limited IPO	Expansion	0.99	73.75	11.94	73.75	61.81
SPP Polymer Limited IPO	Expansion	-0.18	6.78	6.34	6.78	0.44
Tolins Tyres Limited IPO	Expansion	1.36	0.44	13.73	0.44	-13.29
Aditya Ultra Steel Limited IPO	Expansion	0.05	12.74	7.44	12.74	5.30
Shubhshree Biofuels Energy Limited IPO	Expansion	0.07	58.82	7.54	58.82	51.29
Share Samadhan Limited IPO	Expansion	1.16	-1.28	12.77	-1.28	-14.05
Gajanand International Limited IPO	Expansion	0.00	16.67	7.20	16.67	9.47
Vision Infra Equipment Solutions Limited IPO	Expansion	-0.01	25.77	7.15	25.77	18.61
My Mudra Fincorp Limited IPO	Expansion	0.53	18.18	9.74	18.18	8.44
Shree Tirupati Balajee Agro Trading Company Limited IPO	Expansion	0.96	11.93	11.81	11.93	0.12
Namo eWaste Management Limited IPO	Expansion	0.22	90.00	8.26	90.00	81.74
Naturewings Holidays Limited IPO	Expansion	0.65	28.38	10.30	28.38	18.08
Jeyyam Global Foods Limited IPO	Expansion	0.23	0.00	8.30	0.00	-8.30
Gala Precision Engineering Limited IPO	Expansion	1.08	41.78	12.40	41.78	29.38
Boss Packaging Solutions Limited IPO	Expansion	-0.50	25.00	4.80	25.00	20.20
Travels & Rentals Limited IPO	Expansion	0.56	37.50	9.88	37.50	27.62
Aeron Composite Limited IPO	Expansion	-0.24	20.00	6.05	20.00	13.95
Paramatrix Technologies Limited IPO	Expansion	0.00	4.59	7.20	4.59	-2.61
Jay Bee Laminations Limited IPO	Expansion	-1.16	90.00	1.63	90.00	88.37
Vdeal System Limited IPO	Expansion	0.00	51.79	7.20	51.79	44.59
Indian Phosphate Limited IPO	Expansion	0.85	90.00	11.28	90.00	78.72
Rapid Multimodal Logistics Limited IPO	Expansion	0.00	22.62	7.20	22.62	15.42
Resourceful Automobile Limited IPO	Expansion	-0.24	0.00	6.06	0.00	-6.06
QVC Exports Limited IPO	Expansion	-0.28	87.21	5.86	87.21	81.35
Ideal Technoplast Industries Limited IPO	Expansion	0.00	9.17	7.20	9.17	1.97
Brace Port Logistics Limited IPO	Expansion	0.00	108.21	7.20	108.21	101.01
Forcas Studio Limited IPO	Expansion	-0.51	90.00	4.75	90.00	85.25
Broach Lifecare Hospital Limited IPO	Expansion	-0.28	90.00	5.86	90.00	84.14
Solve Plastic Products Limited IPO	Expansion	0.00	12.09	7.20	12.09	4.89
Saraswati Saree Depot Limited IPO	Expansion	0.97	25.00	11.85	25.00	13.15

Positron Energy Limited IPO	Expansion	-0.27	90.00	5.90	90.00	84.10
Sunlite Recycling Industries Limited IPO	Expansion	-0.41	90.00	5.23	90.00	84.77
Aesthetik Engineers Limited IPO	Expansion	0.13	90.00	7.82	90.00	82.18
Ola Electric Mobility Limited IPO	Expansion	1.35	-0.01	13.70	-0.01	-13.71
Afcom Holdings Limited IPO	Expansion	1.08	90.00	12.39	90.00	77.61
Picture Post Studios Limited IPO	Expansion	0.27	25.00	8.50	25.00	16.50
Dhariwalcorp Limited IPO	Expansion	1.30	41.51	13.44	41.51	28.07
Utssav Cz Gold Jewels Limited IPO	Expansion	-0.48	0.05	4.90	0.05	-4.85
Sathlokhar Synergys E&C Global Limited IPO	Expansion	0.05	85.71	7.44	85.71	78.27
Bulkcorp International Limited IPO	Expansion	0.57	23.81	9.94	23.81	13.87
Rajputana Industries Limited IPO	Expansion	0.54	90.00	9.79	90.00	80.21
Ashapura Logistics Limited IPO	Expansion	-0.61	28.47	4.27	28.47	24.20
Kizi Apparels Limited IPO	Expansion	1.26	10.24	13.23	10.24	-2.99
S A Tech Software India Limited IPO	Expansion	-0.58	90.00	4.42	90.00	85.58
Esprit Stones Limited IPO	Expansion	-0.78	7.07	3.46	7.07	3.61
Clinitech Laboratory Limited IPO	Expansion	0.84	19.79	11.21	19.79	8.58
Aprameya Engineering Limited IPO	Expansion	-0.44	24.14	5.09	24.14	19.05
Trom Industries Limited IPO	Expansion	-0.57	90.00	4.46	90.00	85.54
Chetana Education Limited IPO	Expansion	0.61	16.35	10.13	16.35	6.22
Manglam Infra and Engineering Limited IPO	Expansion	0.19	90.00	8.11	90.00	81.89
V.L.Infraprojects Limited IPO	Expansion	-0.26	90.00	5.95	90.00	84.05
VVIP Infratech Limited IPO	Expansion	0.61	90.00	10.13	90.00	79.87
RNFI Services Limited IPO	Expansion	0.22	90.00	8.26	90.00	81.74
Sanstar Limited IPO	Expansion	1.17	12.00	12.80	12.00	-0.80
Kataria Industries Limited IPO	Expansion	-0.50	90.00	4.80	90.00	85.20
Macobs Technologies Limited IPO	Expansion	-0.49	28.00	4.85	28.00	23.15
Tunwal E-Motors Limited IPO	Expansion	-0.28	8.47	5.86	8.47	2.62
Aealea Commodities Limited IPO	Expansion	0.95	73.68	11.74	73.68	61.95
Sati Poly Plast Limited IPO	Expansion	0.37	90.00	8.98	90.00	81.02
Prizor Viztech Limited IPO	Expansion	0.11	90.00	7.73	90.00	82.27
Three M Paper Boards Limited IPO	Expansion	1.00	10.14	11.98	10.14	-1.84
Sahaj Solar Limited IPO	Expansion	-1.04	90.00	2.21	90.00	87.79
Effwa Infra & Research Limited IPO	Expansion	-0.21	90.00	6.19	90.00	83.81
Ganesh Green Bharat Limited IPO	Expansion	-0.03	109.47	7.06	109.47	102.42
Ambey Laboratories Limited IPO	Expansion	-0.30	25.00	5.76	25.00	19.24
Bansal Wire Industries Limited IPO	Expansion	1.00	37.52	12.00	37.52	25.52
Nephro Care India Limited IPO	Expansion	-0.05	90.00	6.96	90.00	83.04
Vraj Iron and Steel Limited IPO	Expansion	1.11	15.94	12.55	15.94	3.40
Diensten Tech Limited IPO	Expansion	0.18	140.00	8.06	140.00	131.94

Allied Blenders and Distillers Limited IPO	Expansion	1.12	13.20	12.55	13.20	0.65
Akiko Global Services Limited IPO	Expansion	0.32	27.27	8.74	27.27	18.54
Divine Power Energy Limited IPO	Expansion	0.38	287.50	9.02	287.50	278.48
Shivalic Power Control Limited IPO	Expansion	0.20	211.00	8.16	211.00	202.84
Sylvan Plyboard (India) Ltd IPO	Expansion	0.12	20.00	7.78	20.00	12.22
Mason Infratech Limited IPO	Expansion	-0.08	37.50	6.82	37.50	30.68
Visaman Global Sales Limited IPO	Expansion	-0.31	4.88	5.71	4.88	-0.83
Medicamen Organics Limited IPO	Expansion	0.02	305.44	7.30	305.44	298.15
Dindigul Farm Product Limited IPO	Expansion	1.52	90.00	14.47	90.00	75.53
Winnny Immigration and Education Services Ltd IPO	Expansion	0.19	71.43	8.11	71.43	63.32
DEE Development Engineers Limited IPO	Expansion	1.00	60.10	11.98	60.10	48.12
Durlax Top Surface Limited IPO	Expansion	0.07	60.29	7.54	60.29	52.76
Falcon Technoprojects India Limited IPO	Expansion	0.00	-8.70	7.20	-8.70	-15.90
Akme Fintrade India Ltd IPO	Expansion	1.59	4.75	14.85	4.75	-10.10
GP Eco Solutions India Limited IPO	Expansion	0.00	298.94	7.20	298.94	291.74
United Cotfab Limited IPO	Expansion	0.58	7.14	10.00	7.14	-2.85
Sattrix Information Security Limited IPO	Expansion	0.42	23.97	9.20	23.97	14.77
Magenta Lifecare Limited IPO	Expansion	-0.57	28.57	4.47	28.57	24.11
3C IT Solutions & Telecoms (India) Limited IPO	Expansion	0.90	-17.29	11.52	-17.29	-28.81
TBI Corn Limited IPO	Expansion	0.49	110.64	9.55	110.64	101.09
Aimtron Electronics Limited IPO	Expansion	0.24	49.69	8.35	49.69	41.34
Associated Coaters Limited IPO	Expansion	0.12	17.36	7.78	17.36	9.58
Ztech India Limited IPO	Expansion	0.26	-9.09	8.45	-9.09	-17.54
Beacon Trusteeship Limited IPO	Expansion	0.53	50.00	9.74	50.00	40.26
Vilas Transcore Limited IPO	Expansion	0.42	46.26	9.22	46.26	37.04
GSM Foils Limited IPO	Expansion	0.18	0.00	8.06	0.00	-8.06
Rulka Electricals Limited IPO	Expansion	0.77	123.40	10.90	123.40	112.51
HOAC Foods India Limited IPO	Expansion	0.17	206.25	8.02	206.25	198.23
Quest Laboratories Limited IPO	Expansion	-0.26	59.90	5.95	59.90	53.94
Indian Emulsifier Limited IPO	Expansion	0.09	225.76	7.63	225.76	218.13
Mandeep Auto Industries Limited IPO	Expansion	0.43	-7.09	9.26	-7.09	-16.35
Veritaas Advertising Limited IPO	Expansion	0.00	141.23	7.20	141.23	134.03
ABS Marine Services Limited IPO	Expansion	0.40	100.00	9.12	100.00	90.88
Premier Roadlines Limited IPO	Expansion	0.50	29.85	9.60	29.85	20.25
Aztec Fluids & Machinery Limited IPO	Expansion	0.48	34.33	9.48	34.33	24.85
Piotex Industries Limited IPO	Expansion	0.23	15.96	8.31	15.96	7.64
Energy-Mission Machineries (India) Limited IPO	Expansion	0.05	165.22	7.44	165.22	157.78
TGIF Agribusiness Limited IPO	Expansion	-0.02	61.29	7.09	61.29	54.20

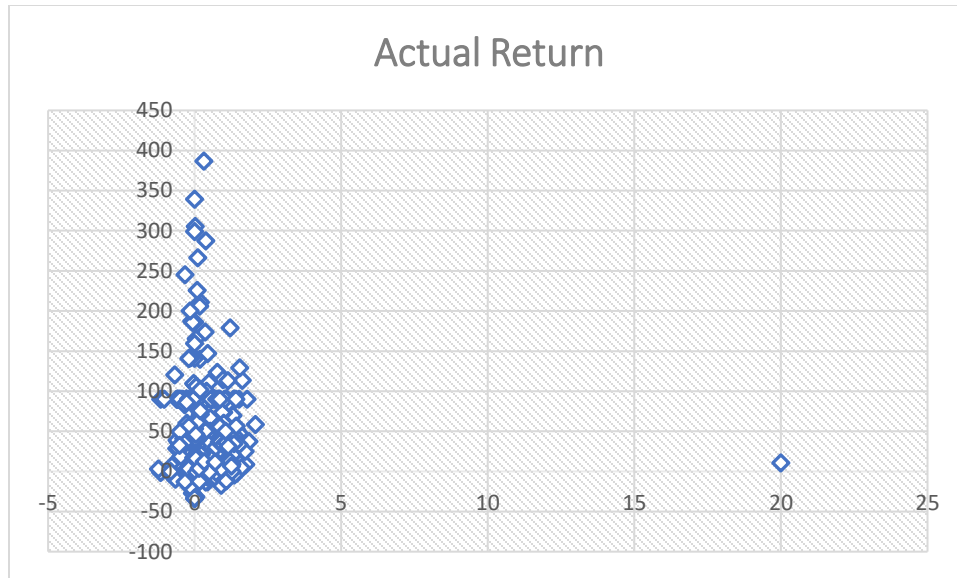
Silkflex Polymers (India) Limited IPO	Expansion	0.40	15.38	9.12	15.38	6.26
Finelistings Technologies Limited IPO	Expansion	0.56	3.25	9.88	3.25	-6.63
Winsol Engineers Limited IPO	Expansion	0.32	386.67	8.74	386.67	377.93
Refractory Shapes Limited IPO	Expansion	-0.13	141.94	6.58	141.94	135.36
Slone Infosystems Limited IPO	Expansion	0.37	50.00	8.98	50.00	41.02
Storage Technologies and Automation Ltd IPO	Expansion	1.10	90.00	12.49	90.00	77.51
Amkay Products Limited IPO	Expansion	0.70	90.00	10.55	90.00	79.45
Sai Swami Metals & Alloys Limited IPO	Expansion	1.08	90.00	12.37	90.00	77.63
Emmforce Autotech Limited IPO	Expansion	0.70	90.00	10.56	90.00	79.44
Shivam Chemicals Limited IPO	Expansion	1.28	9.09	13.32	9.09	-4.23
Varyaa Creations Limited IPO	Expansion	0.61	90.00	10.14	90.00	79.86
Falcon Concepts Limited IPO	Expansion	0.00	53.23	7.20	53.23	46.03
Vodafone Idea Limited FPO	Expansion	1.72	24.82	15.46	24.82	9.36
Ramdevbaba Solvent Limited IPO	Expansion	0.10	31.76	7.68	31.76	24.08
Grill Splendour Services Limited IPO	Expansion	0.27	1.08	8.50	1.08	-7.41
Greenhitech Ventures Limited IPO	Expansion	0.59	90.00	10.04	90.00	79.96
DCG Cables & Wires Limited IPO	Expansion	-0.20	-14.65	6.24	-14.65	-20.89
Teerth Gopicon Limited IPO	Expansion	0.20	12.61	8.16	12.61	4.45
Aluwind Architectural Limited IPO	Expansion	0.06	0.00	7.49	0.00	-7.49
Creative Graphics Solutions India Limited IPO	Expansion	0.05	105.88	7.44	105.88	98.44
Jay Kailash Namkeen Limited IPO	Expansion	0.62	16.44	10.17	16.44	6.27
K2 Infragen Limited IPO	Expansion	-0.06	40.34	6.91	40.34	33.42
Yash Optics & Lens Limited IPO	Expansion	0.33	11.11	8.78	11.11	2.33
Radiowalla Network Limited IPO	Expansion	0.00	58.09	7.20	58.09	50.89
TAC Infosec Limited IPO	Expansion	0.36	173.58	8.93	173.58	164.66
Trust Fintech Limited IPO	Expansion	-0.16	41.83	6.43	41.83	35.40
SRM Contractors Limited IPO	Expansion	0.92	7.14	11.59	7.14	-4.45
Vruddhi Engineering Works Limited IPO	Expansion	0.05	1.43	7.43	1.43	-6.00
Blue Pebble Limited IPO	Expansion	-0.28	18.45	5.86	18.45	12.60
Aspire & Innovative Advertising Limited IPO	Expansion	0.01	4.63	7.25	4.63	-2.62
GConnect Logitech and Supply Chain Limited IPO	Expansion	-0.39	5.00	5.31	5.00	-0.31
Naman In-Store (India) Limited IPO	Expansion	-0.28	40.45	5.86	40.45	34.59
Vishwas Agri Seeds Limited IPO	Expansion	0.00	-1.16	7.20	-1.16	-8.36
Omfurn India Limited FPO	Expansion	-0.30	2.13	5.76	2.13	-3.63
Chatha Foods Limited IPO	Expansion	0.72	30.04	10.66	30.04	19.38
KP Green Engineering Limited IPO	Expansion	1.07	38.89	12.35	38.89	26.53
Enfuse Solutions Limited IPO	Expansion	-0.42	19.79	5.18	19.79	14.61

Enser Communications Limited IPO	Expansion	-1.24	2.86	1.25	2.86	1.61
AVP Infracon Limited IPO	Expansion	0.00	5.33	7.20	5.33	-1.87
Signoria Creation Limited IPO	Expansion	0.18	101.54	8.06	101.54	93.47
Royal Sense Limited IPO	Expansion	0.81	90.00	11.10	90.00	78.90
Pratham EPC Projects Limited IPO	Expansion	-0.09	51.07	6.77	51.07	44.30
Pune E-Stock Broking Limited IPO	Expansion	1.42	56.63	13.99	56.63	42.63
Shree Karni Fabcom Limited IPO	Expansion	0.06	14.54	7.49	14.54	7.05
Koura Fine Diamond Jewelry Limited IPO	Expansion	0.84	36.36	11.23	36.36	25.14
JG Chemicals Limited IPO	Expansion	1.16	-4.52	12.75	-4.52	-17.28
Sona Machinery Limited IPO	Expansion	-0.10	-12.59	6.72	-12.59	-19.31
V R Infraspac Limited IPO	Expansion	0.00	5.88	7.20	5.88	-1.32
Mukka Proteins Limited IPO	Expansion	0.82	57.14	11.15	57.14	45.99
M.V.K. Agro Food Product Ltd IPO	Expansion	0.00	-34.17	7.20	-34.17	-41.37
Bharat Highways Infrastructure Investment Trust InvIT	Expansion	0.00	1.00	7.20	1.00	-6.20
Platinum Industries Limited IPO	Expansion	1.51	33.33	14.47	33.33	18.87
Exicom Tele-Systems Limited IPO	Expansion	1.17	85.92	12.80	85.92	73.12
Purv Flexipack Limited IPO	Expansion	0.11	266.20	7.73	266.20	258.47
Owais Metal and Mineral Processing Limited IPO	Expansion	-0.10	187.36	6.72	187.36	180.64
Sadhav Shipping Limited IPO	Expansion	0.12	42.11	7.78	42.11	34.33
Juniper Hotels Limited IPO	Expansion	1.13	0.33	12.60	0.33	-12.27
Deem Roll Tech Limited IPO	Expansion	-0.03	55.04	7.06	55.04	47.98
Zenith Drugs Limited IPO	Expansion	0.01	39.24	7.25	39.24	31.99
Esconet Technologies Limited IPO	Expansion	-0.33	245.24	5.62	245.24	239.62
Kalahridhaan Trendz Limited IPO	Expansion	-0.03	4.78	7.06	4.78	-2.28
Thaai Casting Ltd IPO	Expansion	-0.18	141.43	6.34	141.43	135.09
Atmastco Limited IPO	Expansion	-0.23	18.18	6.10	18.18	12.09
Interiors and More Limited IPO	Expansion	0.00	18.94	7.20	18.94	11.74
Vibhor Steel Tubes Limited IPO	Expansion	1.21	178.81	13.00	178.81	165.81
Alpex Solar Limited IPO	Expansion	0.00	186.09	7.20	186.09	178.89
Rudra Gas Enterprise Limited IPO	Expansion	0.56	90.00	9.87	90.00	80.13
Rashi Peripherals Limited IPO	Expansion	1.05	7.72	12.24	7.72	-4.52
Jana Small Finance Bank Limited IPO	Expansion	1.35	-4.35	13.69	-4.35	-18.04
Capital Small Finance Bank Limited IPO	Expansion	0.69	-7.05	10.49	-7.05	-17.54
Apeejay Surrendra Park Hotels Limited IPO	Expansion	1.30	20.65	13.41	20.65	7.23
Italian Edibles Limited IPO	Expansion	-0.16	-19.12	6.43	-19.12	-25.55
Gabriel Pet Straps Limited IPO	Expansion	0.00	13.86	7.20	13.86	6.66
BLS E-Services Limited IPO	Expansion	1.54	128.89	14.57	128.89	114.32
Baweja Studios Limited IPO	Expansion	0.12	7.22	7.78	7.22	-0.55

Megatherm Induction Limited IPO	Expansion	-0.34	83.33	5.57	83.33	77.77
Harshdeep Hortico Limited IPO	Expansion	0.86	55.56	11.31	55.56	44.24
Mayank Cattle Food Limited IPO	Expansion	1.06	7.41	12.29	7.41	-4.89
Fonebox Retail Limited IPO	Expansion	-0.07	185.71	6.86	185.71	178.85
DelaPlex Limited IPO	Expansion	0.09	60.94	7.63	60.94	53.31
Docmode Health Technologies Limited IPO	Expansion	-0.20	140.82	6.24	140.82	134.58
Nova AgriTech Limited IPO	Expansion	0.87	36.59	11.39	36.59	25.20
EPACK Durable Limited IPO	Expansion	1.13	-2.17	12.62	-2.17	-14.80
Konstelec Engineers Limited IPO	Expansion	-0.16	200.00	6.43	200.00	193.57
Euphoria Infotech India Limited IPO	Expansion	1.04	90.00	12.19	90.00	77.81
Qualitek Labs Limited IPO	Expansion	0.75	90.00	10.80	90.00	79.20
Maxposure Limited IPO	Expansion	0.00	339.39	7.20	339.39	332.19
Shree Marutinandan Tubes Limited IPO	Expansion	0.11	39.86	7.71	39.86	32.15
New Swan Multitech Limited IPO	Expansion	0.86	90.00	11.35	90.00	78.65
Australian Premium Solar (India) Limited IPO	Expansion	0.00	159.26	7.20	159.26	152.06
Jyoti CNC Automation Limited IPO	Expansion	1.21	12.39	13.01	12.39	-0.62
Unimech Aerospace and Manufacturing Limited IPO	OFS	-0.28	85.99	5.86	85.99	80.13
Carraro India Limited IPO	OFS	-0.66	-9.66	4.03	-9.66	-13.69
Transrail Lighting Limited IPO	OFS	-0.56	36.57	4.51	36.57	32.06
DAM Capital Advisors Limited IPO	OFS	-0.60	38.87	4.32	38.87	34.55
Mamata Machinery Limited IPO	OFS	0.45	146.91	9.36	146.91	137.55
Newmalayalam Steel Limited IPO	OFS	-0.82	0.00	3.26	0.00	-3.26
Concord Enviro Systems Limited IPO	OFS	-0.47	18.69	4.94	18.69	13.74
International Gemmological Institute (India) Limited IPO	OFS	0.23	21.07	8.30	21.07	12.76
Inventurus Knowledge Solutions Limited IPO	OFS	-0.20	56.51	6.24	56.51	50.27
Vishal Mega Mart Limited IPO	OFS	0.03	41.03	7.34	41.03	33.68
Sai Life Sciences Limited IPO	OFS	0.03	20.22	7.34	20.22	12.87
Suraksha Diagnostic Limited IPO	OFS	0.23	-0.91	8.30	-0.91	-9.21
Rajesh Power Services Limited IPO	OFS	1.79	89.85	15.79	89.85	74.06
Zinka Logistics Solution Limited IPO	OFS	0.16	2.22	7.97	2.22	-5.75
Mangal Compusolution Limited IPO	OFS	-0.07	0.00	6.87	0.00	-6.87
Niva Bupa Health Insurance Company Limited IPO	OFS	0.85	6.08	11.29	6.08	-5.21
Swiggy Limited IPO	OFS	1.23	5.64	13.12	5.64	-7.48
Sagility India Limited IPO	OFS	0.86	3.53	11.35	3.53	-7.81
Afcons Infrastructure Limited IPO	OFS	0.99	-7.12	11.96	-7.12	-19.08
Godavari Biorefineries Limited IPO	OFS	1.08	-11.78	12.37	-11.78	-24.15

Hyundai Motor India Limited IPO	OFS	0.73	-1.48	10.71	-1.48	-12.19
Khyati Global Ventures Limited IPO	OFS	0.26	6.06	8.47	6.06	-2.41
Bajaj Housing Finance Limited IPO	OFS	0.97	114.29	11.86	114.29	102.42
Kross Limited IPO	OFS	1.28	0.00	13.34	0.00	-13.34
Mach Conferences and Events Limited IPO	OFS	0.97	33.33	11.83	33.33	21.50
Sathlokhar Synergys E&C Global Limited IPO	OFS	0.00	-33.16	7.20	-33.16	-40.36
ECOS (India) Mobility & Hospitality Limited IPO	OFS	-0.04	17.16	7.01	17.16	10.15
Premier Energies Limited IPO	OFS	-0.68	120.22	3.94	120.22	116.29
Orient Technologies Limited IPO	OFS	-0.37	40.78	5.42	40.78	35.35
Interarch Building Products Limited IPO	OFS	1.08	35.78	12.39	35.78	23.39
Brainbees Solutions Limited IPO	OFS	1.35	34.41	13.66	34.41	20.75
Unicommerce eSolutions Limited IPO	OFS	1.13	112.96	12.64	112.96	100.32
Ceigall India Limited IPO	OFS	0.90	2.99	11.53	2.99	-8.53
Akums Drugs and Pharmaceuticals Limited IPO	OFS	1.25	6.77	13.22	6.77	-6.45
Emcure Pharmaceuticals Limited IPO	OFS	1.15	31.45	12.72	31.45	18.73
Petro Carbon and Chemicals Limited IPO	OFS	0.20	75.44	8.16	75.44	67.28
Stanley Lifestyles Limited IPO	OFS	-0.35	35.23	5.52	35.23	29.71
GEM Enviro Management Limited IPO	OFS	1.41	90.00	13.97	90.00	76.03
Awfis Space Solutions Limited IPO	OFS	0.06	9.67	7.49	9.67	2.19
Go Digit General Insurance Limited IPO	OFS	-0.21	3.31	6.19	3.31	-2.88
TBO Tek Limited IPO	OFS	1.06	50.00	12.30	50.00	37.70
Aadhar Housing Finance Limited IPO	OFS	0.40	-0.32	9.12	-0.32	-9.44
Indegene Limited IPO	OFS	0.04	45.95	7.39	45.95	38.56
JNK India Limited IPO	OFS	-0.50	49.40	4.80	49.40	44.60
Bharti Hexacom Limited IPO	OFS	-0.51	32.46	4.75	32.46	27.70
Krystal Integrated Services Limited IPO	OFS	0.22	11.19	8.26	11.19	2.93
Popular Vehicles & Services Limited IPO	OFS	0.06	-1.02	7.49	-1.02	-8.50
Gopal Snacks Limited IPO	OFS	-0.33	-12.72	5.62	-12.72	-18.33
R K SWAMY Limited IPO	OFS	0.16	-12.50	7.97	-12.50	-20.47
GPT Healthcare Limited IPO	OFS	0.04	16.13	7.39	16.13	8.74
Entero Healthcare Solutions Limited IPO	OFS	0.50	-1.03	9.61	-1.03	-10.65
Polysil Irrigation Systems Limited IPO	OFS	0.15	3.70	7.92	3.70	-4.22
Brisk Technovision Limited IPO	OFS	0.33	12.18	8.76	12.18	3.41
Medi Assist Healthcare Services Limited IPO	OFS	0.70	11.24	10.56	11.24	0.68

3.1 Graph showing Beta Vs Actual Return



Interpretation:

- Most IPOs cluster at low Beta values (0–2)
 - The X-axis (Beta) is heavily concentrated on the left.
 - This means most IPOs in your dataset have low systematic risk relative to the market.
- Wide variation in Actual Returns
 - Even for similar low Beta values, Actual Returns range from negative (–50%) to very high (400%).
 - This shows that IPO listing performance is not strongly explained by Beta alone.
 - Other factors (subscription demand, market sentiment, IPO fundamentals) play a major role.
- Outlier at Beta ≈ 20
 - There's a single company with extremely high Beta (~ 20) but Actual Return only around 30–40%.
 - This is likely an outlier — either a calculation anomaly or a very unusual stock.

- You might consider removing or separately analyzing this outlier, as it skews interpretation.

□ CAPM Model Misfit

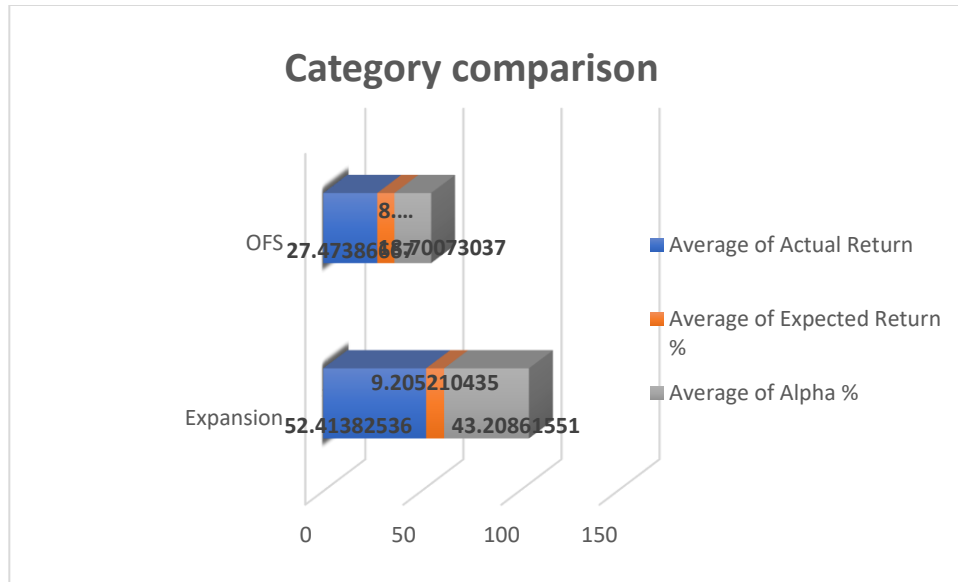
- According to CAPM, higher Beta should lead to proportionally higher returns (linear upward slope).
- Your chart shows no such clear trend → many low-Beta IPOs delivered very high returns.
- This suggests IPOs often generate listing gains driven by market sentiment rather than risk-adjusted return expectations.

Category comparison (OFS-heavy vs Expansion-focused):

In order to assess the relative performance of IPOs, the sample has been divided into two categories – OFS-heavy issues and Expansion-focused issues. The comparison is based on three key metrics: Actual Return on listing day, Expected Return (as per CAPM), and Alpha (the excess return over CAPM predictions). This helps in understanding whether investor gains were aligned with market expectations or whether certain categories consistently outperformed/underperformed the benchmark.

3.2 Table Showing the information about Category Comparison

Category	Average of Actual Return	Average of Expected Return %	Average of Alpha %
Expansion	52.41	9.21	43.21
OFS	27.47	8.77	18.70
Grand Total	48.33	9.13	39.20



The chart compares the performance of OFS-heavy IPOs and Expansion-focused IPOs across three dimensions: actual return, expected return (CAPM), and alpha (excess return).

Interpretation:

Actual Return: Expansion-focused IPOs delivered much higher average actual returns (52.41%) compared to OFS-heavy IPOs (27.47%).

Expected Return (CAPM): Both categories had similar expected returns (around 9%), suggesting the market risk profile is comparable.

Alpha (%): Expansion-focused IPOs generated a significantly higher alpha (43.21%) compared to OFS-heavy IPOs (18.70%), meaning they consistently outperformed CAPM predictions.

CHAPTER – 5

FINDINGS, SUGGESTIONS AND

CONCLUSION

Findings:

1. Subscription Levels & Investor Demand

- Expansion-focused IPOs had much higher average subscriptions (214.59x) compared to OFS-heavy IPOs (53.68x).
- Strong investor demand translated into superior listing day returns for Expansion IPOs.
- Lower demand for OFS-heavy issues reflects skepticism toward offerings that do not fund business growth.

2. Subscription vs. Listing Day Return Relationship

- A positive association exists: higher subscription levels led to higher listing day returns.
- Expansion IPOs: 52.41% avg. return vs OFS IPOs: 27.47% avg. return.
- Investor enthusiasm clearly favors growth-driven fund allocation.

3. Grey Market Premium (GMP) Insights

- OFS-heavy IPOs had higher average GMP (₹103.26) than Expansion-focused IPOs (₹62.61).
- However, peak GMPs were much higher for Expansion IPOs (₹1295 vs ₹625) → higher upside potential in select cases.
- Negative GMPs occurred in both categories, but OFS-heavy IPOs faced sharper downside (₹-25 vs ₹-4).

4. Beta Value (Systematic Risk)

- Expansion-focused IPOs had higher Beta (0.418 vs 0.328), meaning they were more sensitive to market swings.
- OFS-heavy IPOs offered more stability but also lower return potential.
- The higher volatility of Expansion IPOs aligned with their higher returns, reinforcing the risk-return tradeoff.

5. Alpha Value (Excess Return) – T-Test & Decision Tree

- Expansion IPOs generated significantly higher Alpha (43.21%) compared to OFS-heavy IPOs (18.70%).
- This means Expansion IPOs consistently outperformed what CAPM predicted, showing superior value creation beyond market risk factors.

6. Correlation Analysis

- GMP & Listing Day Return → very weak positive (0.081) → hype didn't strongly predict returns.
- GMP & Beta → moderately negative (-0.627) → high GMP IPOs tended to be less volatile.
- Listing Day Return & Beta → strong positive (0.697) → riskier IPOs delivered higher initial returns, proving a risk-return linkage.

7. CAPM Insights

- Most IPOs clustered at low Beta, but returns varied widely (-50% to +400%).
- CAPM predictions (linear Beta–Return relationship) did not hold — IPOs are driven more by sentiment and demand than systematic risk.
- Outlier at Beta ~20 with low return suggests possible anomaly.
- Category-wise: Expansion IPOs consistently beat OFS-heavy IPOs in actual returns and alpha generation, despite similar expected returns (~9%).

Suggestions:

1. For Companies Planning an IPO

- If you're Going to raise the funds for expansion, **make that the headline of your story**. Investors love growth — the data proves it.
- if your IPO includes OFS, consider combining it with fresh issue capital so investors see future benefits.
- Don't overplay with GMP, while a high GMP can create buzz, it will not meet your expectations and it can lead to disappointment on listing day.

2. For Investors

- If you're chasing short-term listing gains, expansion IPOs have historically delivered
- more but be ready for bigger swings.
- Don't blindly trust GMP. In our data, it wasn't a strong predictor of actual day-one returns. Look at subscription levels, market mood, and the company's business story.
- Keep an eye on Beta — high Beta IPOs might bring bigger rewards, but also higher risks. Diversification can protect you.

3. For Regulators and Exchanges

- Push for **clearer disclosures** on how IPO proceeds will be used. Many investors still struggle to distinguish between expansion and OFS-heavy offers.
- Keep an eye on grey market activities to make sure they don't distort real investor sentiment.

4. For Analysts and Researchers

- Stop relying on GMP alone to forecast performance — mix in Beta, subscription levels, and qualitative business factors for a more accurate picture.

- Monitor IPOs for a longer period after listing to see if high first-day returns are sustainable or just hype-driven.

5. CAPM Takeaways

- CAPM alone doesn't explain IPO returns well — investor sentiment and oversubscription need to be part of the model.
- Alpha (outperformance over CAPM) is a valuable metric for IPO evaluation. Expansion IPOs' high Alpha is proof that the market rewards growth-oriented capital raising.

Conclusion:

This study examined how IPO fund allocation strategy shapes short-term listing performance in the Indian equity market, comparing OFS-heavy issues against expansion-focused issues across 330 mainboard IPOs listed on the NSE and BSE during 2024. Using Beta and Alpha analysis, independent sample T-tests, decision tree modelling, regression and the CAPM framework, the study identified clear and statistically supported differences in risk and return behaviour between the two categories.

The central finding is that **the higher the proportion of Offer for Sale (OFS) in an issue, the weaker its listing performance — and conversely, the more an issue is weighted toward expansion-focused fresh capital, the stronger its listing performance**. OFS-heavy IPOs recorded an average listing day return of 27.47% against 52.41% for expansion-focused issues, and generated average Alpha of 18.70% against 43.21%. Investor demand followed the same direction: expansion issues were subscribed 214.59 times on average, roughly four times the 53.68 times recorded by OFS-heavy issues. Where proceeds go to selling shareholders rather than into the business, the market discounts the offering; where proceeds fund growth, the market rewards it.

This return advantage is not free of risk. Expansion-focused IPOs carried a higher average Beta (0.418 against 0.328), making them more sensitive to broader market movements. The relationship holds throughout the dataset — listing day return and Beta correlate strongly at 0.697 — confirming a conventional risk–return tradeoff rather than a market anomaly. OFS-heavy issues are therefore the more stable of the two, but that stability comes at the cost of materially lower returns and weaker excess performance.

Sentiment indicators proved poor predictors on their own. Grey Market Premium correlated with listing day return at just 0.081, carrying almost no explanatory power, while GMP and Beta correlated negatively at -0.627 . Decision tree analysis confirmed that subscription demand and fund allocation category, not grey market enthusiasm, were the dominant determinants of listing day outcomes. CAPM's linear Beta–return relationship did not hold for Indian IPOs, whose returns ranged from -50% to over $+400\%$ across a narrow band of Beta values.

For issuers and regulators, fund allocation is read by the market as a signal of intent: a heavily OFS-weighted issue invites scepticism and depresses both subscription and listing gains, while capital directed at expansion supports investor confidence. For investors, the choice is one of objective — expansion-focused IPOs offer higher returns for those accepting greater volatility, while OFS-heavy IPOs suit those prioritising stability over upside.

The study concludes that IPO success cannot be judged by subscription figures or grey market sentiment alone. A structured examination of fund allocation, Alpha and Beta yields a far more reliable picture of prospective risk and return, and remains a valuable instrument for informed investment decisions.